



THE ANNUAL REPORT 2013

ROCKSOURCE

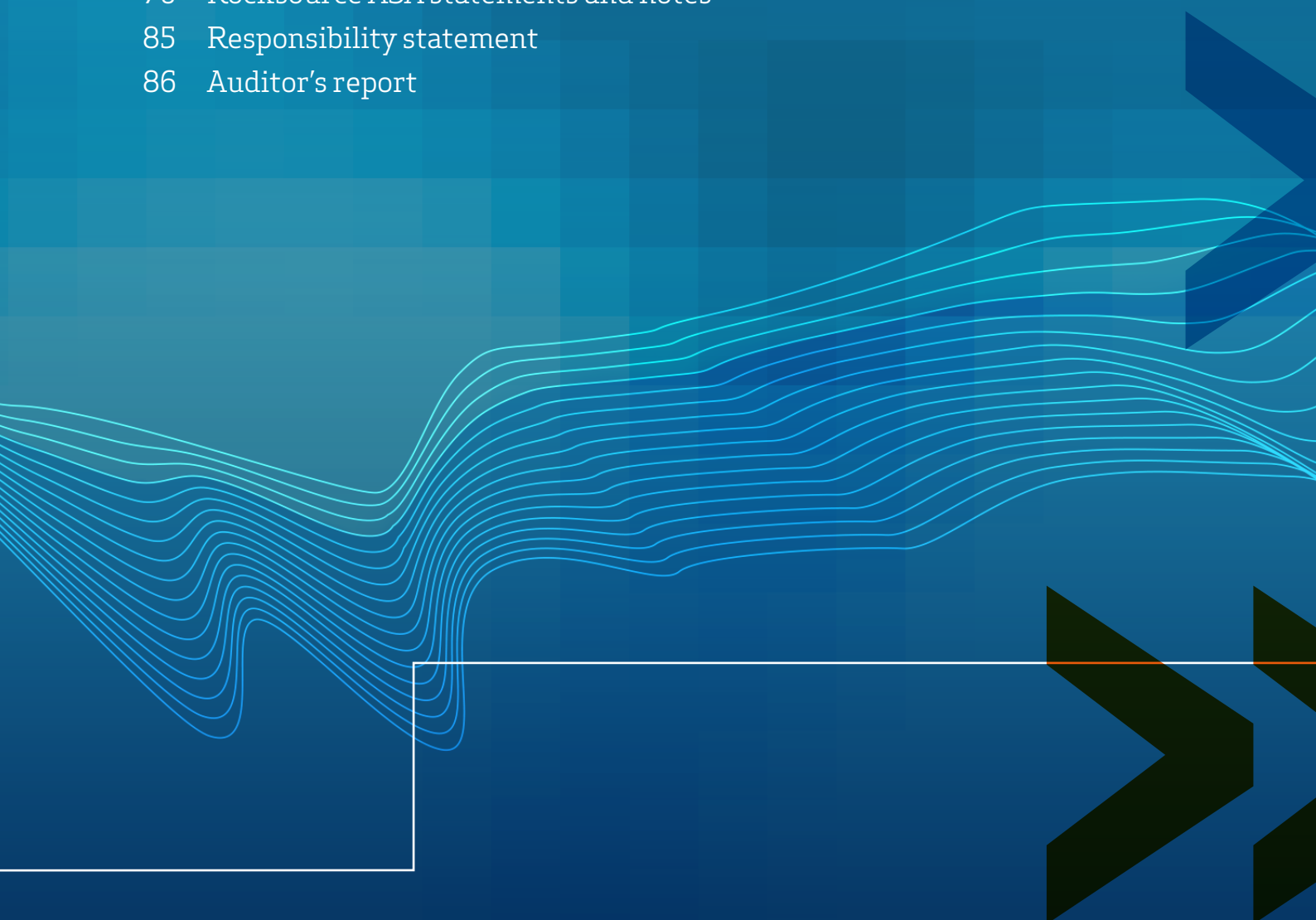
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Highlights

OPERATIONAL

Strong result in the NCS 22nd Licensing Round with three new awards

Excellent result in the APA 2013 Licensing Round with five new awards

Partner in the Pil oil and gas discovery in PL 586 in the Norwegian Sea

FINANCIAL

The net loss for 2013 amounted to NOK 39 million compared with a loss in 2012 of NOK 202 million.

Year-end working capital of NOK 111 million

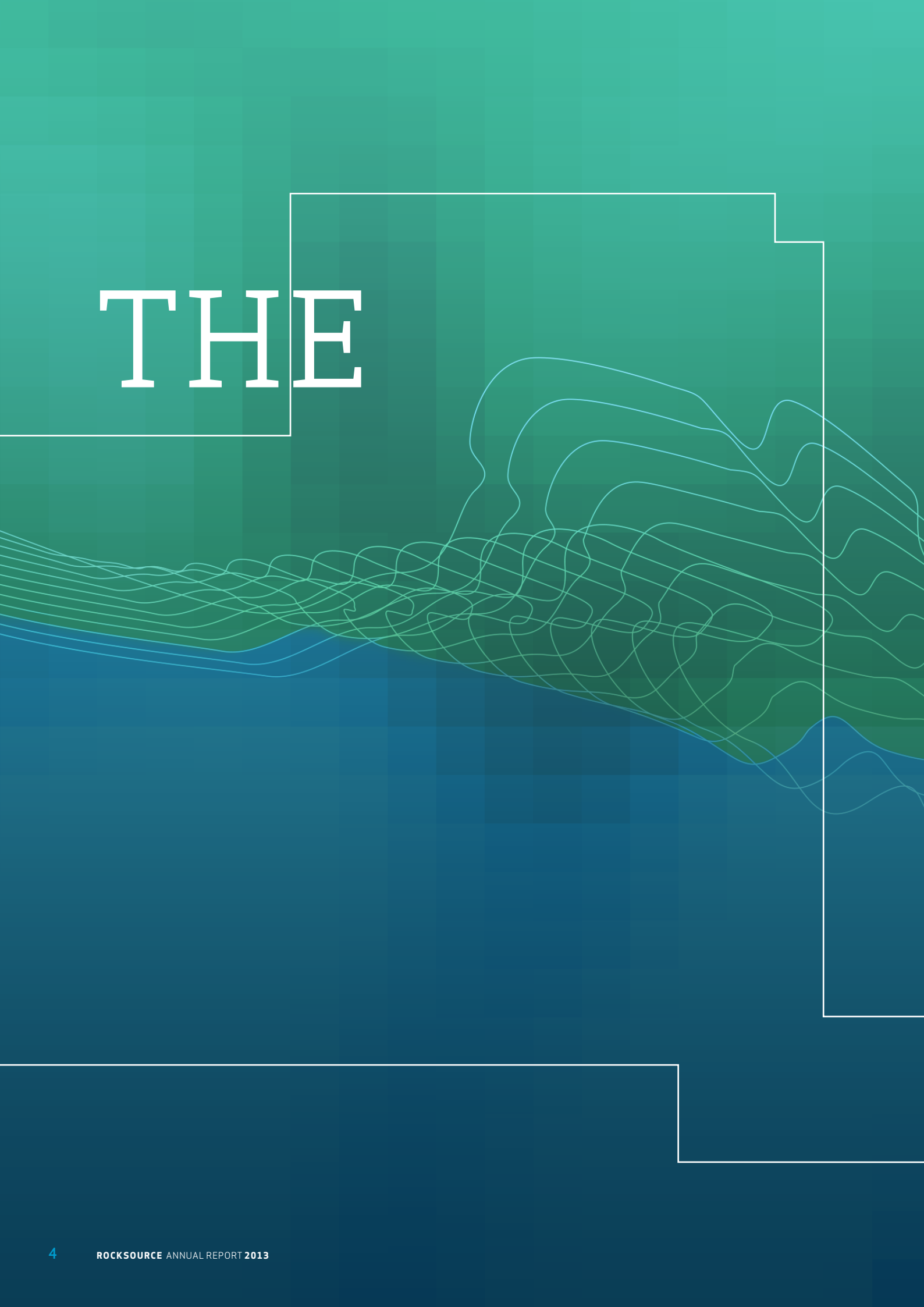
A NOK 300 million NCS exploration credit facility for 2014 secured with SEB Merchant Banking

ORGANISATIONAL

No reported incidents related to Rocksource's operations in 2013

Operations to be co-located to Bergen by year end 2014

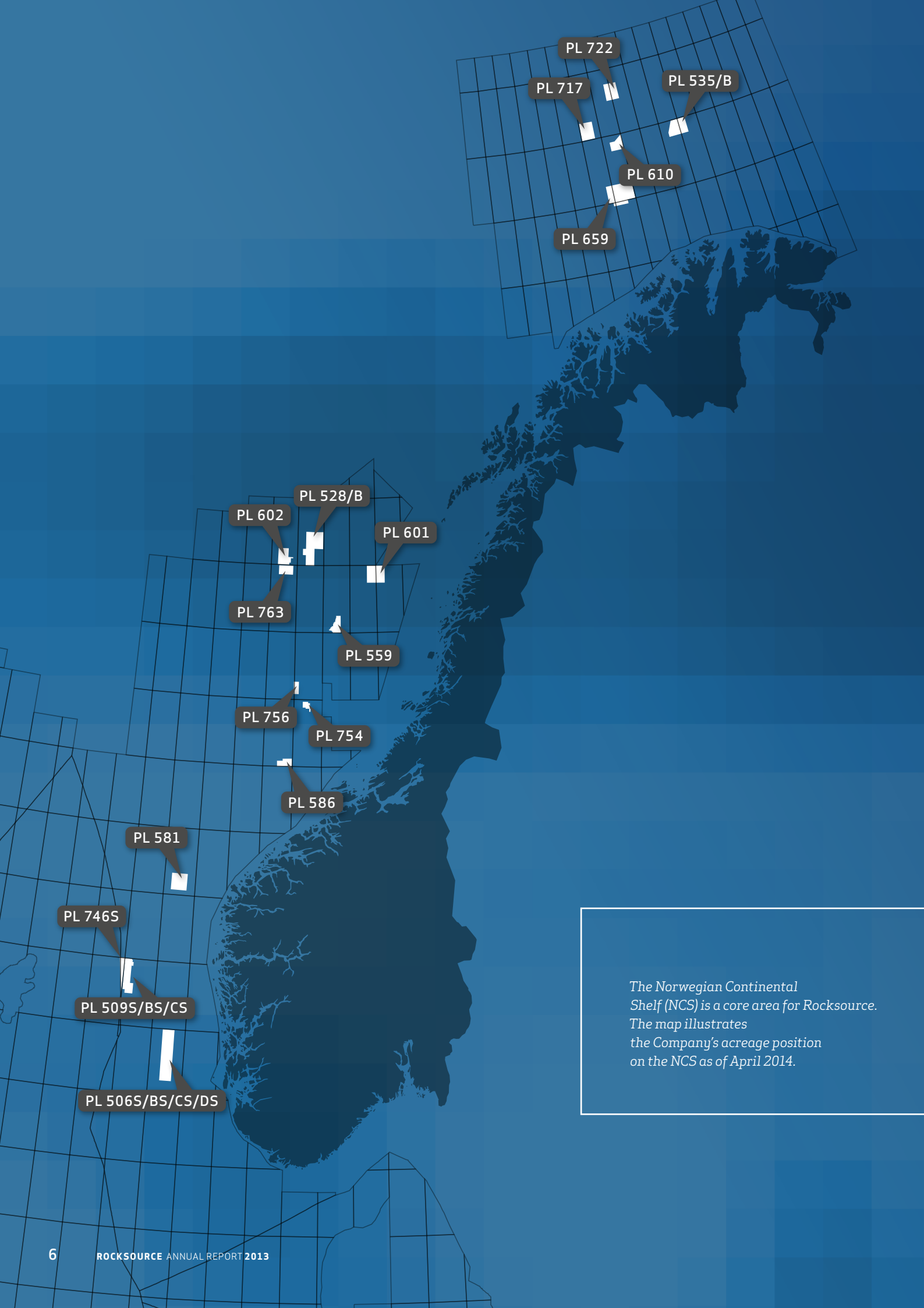
At the end of 2013, Rocksource employed 33 employees, a reduction from 34 at year-end 2012



THE

COMPANY

Rocksource at a glance
CEO's comment
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Corporate governance
Shareholder information



The Norwegian Continental Shelf (NCS) is a core area for Rocksource. The map illustrates the Company's acreage position on the NCS as of April 2014.

Rocksource at a glance

Rocksource is an exploration company focusing on the Norwegian Continental Shelf (NCS). The Company's exploration model is to apply in depth geological knowledge complemented by advanced seismic and EM analysis supported by commercial expertise and capital discipline. Our goal is take part in commercial discoveries, divest and re-allocate funds towards new exploration opportunities.

The Company currently holds 24 licences on the NCS and nine leases in the US Gulf of Mexico (GoM). Rocksource is partner in the Pil discovery on the NCS and controls 100 per cent of the Trident discovery in the GoM.

The Company has its headquarters in Bergen and currently employs approximately 30 highly skilled professionals. Rocksource is listed on the Oslo Stock Exchange with ticker RGT.

CEO's comment

Dear fellow shareholder,

The last year has been a good one for Rocksource. We have substantially grown our licence portfolio, consolidated our position as a prudent NCS operator and, last, but not least, participated in what appears to be our first ever commercial discovery. The progress we have made indicates that the new strategy which we adopted in 2012 is really starting to pay-off.

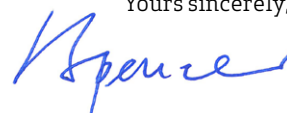
Of course, we will not rest on our laurels. We are continuously seeking to add quality opportunities to the portfolio, as well as evaluating measures to further improve our efficiency and achieve better integration between the various technical and commercial disciplines within the Company. The decision to consolidate all our activities to our headquarters in Bergen is an example of one such enhancement.

I took on the role as CEO of Rocksource in late 2011, fully aware of the challenges ahead: The most urgent issue was the financial situation, but, in parallel with this, it was clear that we also needed to improve our exploration work processes, rejuvenate the portfolio, and reduce overhead costs. These combined challenges led to our new exploration strategy, which we set out in 2012.

The new strategy is now visibly starting to pay-off, with high quality awards in both 22nd and APA rounds from last year, and now the significant discovery of oil and gas at Pil. Furthermore, over the last two and a half years, we have doubled our licence portfolio on the NCS and at the same time significantly reduced our cost base. All these achievements were only possible thanks to a great team effort and I would like to thank everybody at Rocksource for their hard work. You have helped to get the Company to where it is today and, with your continued dedication, I believe the Company has a bright future.

Thank you for your continued support.

Yours sincerely,



Christopher Spencer
Chief Executive Officer



*The progress we have made
indicates that the new strategy
which we adopted in 2012
is really starting to pay-off.*

Management



Christopher Spencer
CEO

Christopher Spencer has over twenty years of industry experience with Shell and BP. In this time, he held positions in engineering, commercial and business development. He has broad international experience, having worked on oil and gas projects and opportunities in the U.K., Norway, Netherlands, Australia, India and Indonesia. He is a chartered engineer through the Institute of Chemical Engineers (U.K.).



Tommy Sundt
CFO

Tommy Sundt has been Chief Financial Officer in Rocksource since the inception of the Company in 2004. Before joining Rocksource he worked with a business development company specializing in strategic and entrepreneurial activities. Prior Mr. Sundt worked as a financial analyst and portfolio manager in an investment company and as auditor with Deloitte. Mr. Sundt holds an MSc degree in economics and business administration.



Annelin Norenes Haaland
Exploration Manager NCS

Annelin Norenes Haaland has been employed as NCS exploration manager with responsibility for the technical evaluation of exploration and growth opportunities for Rocksource since 2012. She started in Rocksource NCS team as an exploration geophysicist in 2011. She has a Cand Scient degree in Reservoir Geophysics and has 17 years of industry experience with Norsk Hydro, StatoilHydro and Statoil, 3 of which were as a project leader and thereafter department manager at the research centre and in exploration in Statoil (Hydro). She has had several years of experience within R&D working with geophysics and IOR development and integrated work processes. Previous experience includes positions as team leader and production geophysicist in Hydro at the Troll field.



Rolf Monsen
CTO

Rolf Monsen has been employed as CTO and International Exploration Manager with main responsibility for quality assurance in the subsurface disciplines and to manage the remaining international exploration ventures. Mr. Monsen joined Rocksource in 2006 after 21 years in Statoil ASA where his last position was G&G manager for the Kvitebjørn gas field. Mr. Monsen has worked as a G&G manager for several producing fields in Norway. He has also worked international exploration in the BP Statoil alliance, which resulted in several successful giant discoveries in the Caspian sea. He was also seconded to the Abgami field development project (Nigeria) led by Chevron in Houston. He is a graduate MSc. petroleum prospecting from NTNU, Trondheim Norway, 1985.



Morten Haukebo
VP HSSE&Q

Morten Haukebo has over twenty five years of industry experience with a wide range of companies. His background includes several years within oil related HSSE&Q having worked on projects both in Norway and internationally. His previous position as Operation Support Manager in Odfjell Drilling covered HSSE&Q, Purchasing, Logistics, Administration, IT, Maintenance and Authority coordination. In addition to this, Mr. Haukebo has previously also been Corporate Security Officer (CSO).

Mr. Haukebo holds a basic law degree Bergen University, and a Master Module from BI in Management, and both a Diploma and Master degree in Security Management from Loughborough University of Technology. He is also an ISO / EOQ accredited auditor.

Corporate governance

Rocksource ASA ("Rocksource" or the "Company") continuously aims to ensure compliance with the Code of Practice for Corporate Governance of 23 October 2012 (the "Code of Practice"). The Code of Practice is available at www.nues.no.

Below follows a report outlining how Rocksource has implemented the Code of Practice. This report follows the same structure as the Code of Practice and covers all sections thereof. Deviations from the Code of Practice are discussed under the relevant sections.

In addition to the Code of Practice, the Norwegian Accounting Act section 3-3b stipulates that companies must provide a report on their policies and practices for corporate governance either in the annual report or in a document referred to in the annual report. Such report is integrated in the below corporate governance statement.

1 Implementation and reporting on corporate governance

Good corporate governance shall ensure that appropriate goals and strategies are adopted, that the adopted strategies are implemented in a sound manner and that the results achieved are subject to measurement and follow-up. The principles shall also contribute to ensuring that the activities of Rocksource are subject to adequate review and control.

It is the responsibility of the Board of Directors of Rocksource to ensure that Rocksource implements sound corporate governance. Compliance with and implementation of the corporate governance guidelines are continuously evaluated by the Board of Directors and its Audit Committee.

The Board of Directors have prepared ethical guidelines for the Company. The guidelines are based on a set of ethical values and aim to ensure that the Company and its employees act with integrity and in the best interest of all shareholders, employees and the environment. The ethical guidelines also include mandatory reporting for Board members and leading employees if they directly or indirectly have a substantial interest in an agreement entered into by the Company; see Item 4 below. The governing guidelines further describe how contact with shareholders can be arranged outside the General Meeting; see Item 13. The Board of Directors approved and published the guidelines in 2007.

2 Business

The Company's activities, objectives and strategies are clearly defined. The objects clause included in the Articles of Association and the Company's main objectives and strategies are referred to in the Annual Report.

3 Equity and dividends

The Board of Directors continuously seeks to maintain shareholder equity well suited to the Company's objectives, strategy and risk profile. In order to provide the Board of Directors with the necessary freedom of action, the General Meeting, from time to time and in its sole discretion, awards the Board of Directors Power of Attorney to implement capital increases in the Company pursuant to the Public Limited Liability Companies Act.

The Company will from time to time and in its sole discretion consider to include authorisations to the Board of Directors on the agenda at each year's Annual General Meeting and to give the General Meeting opportunity to consider each of the capital increase mandates separately.

One authorisation to implement one or several share capital increases under the Company's incentive scheme was granted in the Annual General Meeting on 28 May 2013. This authorisation has not yet been utilised. In order to better comply with the Company's obligations to employees under the incentive scheme, the authorisation was granted for a period of two years from 28 May 2013 and not only until the next Annual General Meeting, as recommended by the Code of Practice.

Any Powers of Attorney granted to the Board of Directors by the General Meeting will only be applied for the purpose of protecting and enhancing shareholders' interests.

The Company has been and still is in a phase with considerable investments. As the Company has a high focus on equity value creation, no regular dividend policy has been established.

4 Equal treatment of shareholders and transactions with close associates

In the opinion of the Board of Directors the Company meets the requirements pertaining to equal treatment of shareholders as laid out in Item 4 of the Code of Practice. The Company has prepared ethical guidelines requiring that members of the Board of Directors and senior employees report any non-immaterial interest in any agreement entered into by the Company.

5 Freely negotiable shares

All shares in Rocksource may be freely traded and no form of restriction of negotiability is included in the Company's Articles of Association.

6 General Meetings

The Company makes all necessary arrangements to ensure that all shareholders can exercise their rights by participating in the Company's General Meetings, either in person or by proxy, and that the General Meeting will be an effective meeting place for the shareholders and the Board of Directors. The Company complies with the specific obligations mentioned in Item 6 of the Code of Practice.

7 Nomination Committee

In accordance with the Articles of Association, the Annual General Meeting has established a Nomination Committee consisting of two members. The members of the Committee are independent of the Board of Directors and the executive personnel.

The Annual General Meeting for 2010 adopted instructions for the Nomination Committee. According to these instructions, the Committee shall ensure that the composition of the Board of Directors is suitable to protect shareholders' interests and the Company's need for expertise, capacity and diversity. The Nomination Committee shall also take into consideration the composition of the Board of Directors to ensure that the Board can act independently of vested interests and seek to achieve a composition that is consistent with applicable guidelines for good corporate governance on the Oslo Stock Exchange.

Information concerning the Nomination Committee and deadlines for making suggestions or proposing candidates for the Board of Directors are available at the Company's website www.rocksource.com, in the investor section.

8 Corporate Assembly and Board of Directors: composition and Independence

The Company is not required by law and has not established a Corporate Assembly. However, the representation of employees in the Board of Directors is under consideration.

The shareholder elected members of the Board of Directors are and shall continue to be composed in accordance with the Company's requirements for expertise, capacity and diversity, and such that it is capable of preserving and protecting the interests of all of the Company's shareholders. The Board of Directors meets the Norwegian requirements for gender representation. More than half of the members of the Board of Directors are independent of the Company's management and main business associates.

None of the Company's executive personnel are members of the Board of Directors. Except for Chairman of the Board Ole Wiborg, who since the second half of 2013 has been engaged as a consultant to assist the Company with the ongoing strategic review process, Board Member Robert Arnott, who in the past has been advisor to a company associated with the Company's main shareholder, and Deputy Board Member Helge Ringdal, who is one of the Company's main shareholders and who has been engaged as chairman of the Company's Gulf of Mexico subsidiary, all members of the Board of Directors are independent of the Company's management, main business associates and the Company's main shareholders. For further information regarding Wiborg and Ringdal's arrangements reference is made to note 21 of the financial statements in the Annual Report.

A total of 29 board meetings were held and recorded during 2013, of which some by telephone conference and a few by written procedure. The attendance among the board members was complete in almost all meetings.

The shareholdings of the members and deputy members of the Board of Directors as of 31 December 2013 are disclosed in the Annual Report.

9 The work of the Board of Directors

The Board of Directors has adopted instructions for the CEO and the management. The Board of Directors carries out assessments of its work and expertise at regular intervals. An Audit Committee and a Strategy Committee were established in 2010.

10 Risk management and internal control

The Board of Directors is of the opinion that the Company has satisfactory internal control and relevant systems for handling risk compared to the size and type of the Company's business. Through policies, procedures, authorisation matrices, reports and controls, the Board of Directors has established an environment for internal control and risk management related to financial reporting that is designed to provide reasonable assurance regarding the reliability of the reporting and of the preparation of the financial statements.

11 Remuneration of the Board of Directors

The Annual General Meeting approves the remuneration paid to the Board of Directors. These are not dependent on results, and the members of the Board of Directors do not hold share options in the Company. The remuneration to the Board of Directors is disclosed in the Annual Report.

12 Remuneration of executive personnel

In accordance with the Norwegian Public Limited Companies Act § 6-16 a, ref § 5-6 third section, the General Meeting is required to approve the Board of Directors' declaration of remuneration policy for the coming year. In the General Meeting the Board of Directors will present the declaration of remuneration as stated in Note 4 to the Company's financial statement. The remuneration paid to the Chief Executive Officer and key employees is shown in the Annual Report. A General Meeting has previously approved the Company's incentive scheme for the executive personnel consisting of three elements: (i) short term incentive scheme (STI) linked to annual goals; (ii) discovery incentive (DI) linked to value of discoveries; and (iii) long term incentive scheme (LTI) comprising share options. An absolute limit has been implemented on both the number of share options (LTI) and on the performance based cash remuneration (STI and DI) to executive personnel.

13 Information and communications

The Company reports financial and other information regularly. All reports are based on openness and take into account the requirement for equal treatment of all shareholders. The Company takes particular care to ensure that any information that may affect the share price is made available to the market. Guidelines for communication with the Company's shareholders outside the General Meeting is included in the Company's ethical guidelines.

14 Take-overs

In a take-over situation the Board of Directors will focus and use its best efforts to ensure equal treatment of the shareholders, and further to have the best interest of all shareholders in mind regarding price and other conditions.

15 Auditor

It is the opinion of the Board of Directors that the Company meets and complies with the requirements stated in Item 15 of the Code of Practice concerning contact with the Company's Auditor. The Auditor is not engaged for services that in the opinion of the Board of Directors could compromise the Auditor's neutrality and independence.

Shareholder information

Rocksource is an E&P company listed on the Oslo Stock Exchange (Oslo Børs). The Company has one share class and each share carries one vote at the general meetings.

Return on investment

In 2013, the Rocksource share had a negative development with a 25 per cent share price decline over the year. In comparison, an investment in the Oslo Børs All Share Index over the same period provided a positive return of 23 per cent. During the year 70.7 million shares changed hands on the Oslo Stock Exchange, with a daily trading average of 0.29 million shares. This was approximately half of the volume traded in 2012.

Ownership structure

At the end of 2013, Rocksource had 4 522 shareholders, and 11 per cent of the Company's shares were owned by foreign investors. This is a decrease of one percentage point from 2012.

Rocksource's 20 largest shareholders held 43.4 per cent of the shares. Please note that this list also consists of nominee shareholders that hold shares on behalf of their clients.

Share capital

Rocksource's share capital at 31 December 2013 was NOK 8,705,550 divided into 87,055,500 shares each with a nominal value of NOK 0.10.



FACTS

4 522
shareholders

87 055 500
shares

290 000
shares traded daily

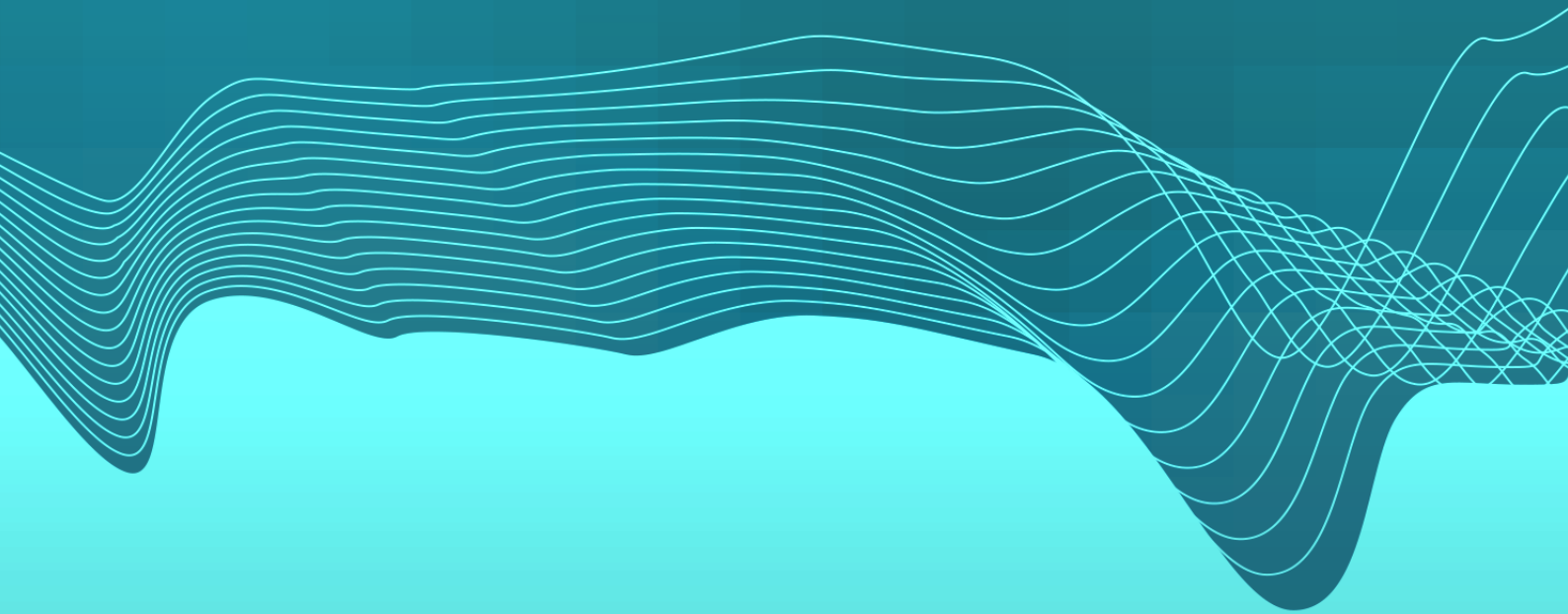
The Company's largest shareholders at 31 December 2013

Name of shareholder	Country	Number of shares	Share %
Larsen Oil & Gas AS	Norway	24 299 049	27.9
Helge Ringdal	Norway	1 278 125	1.5
HSBC Bank PLC	Norway	1 242 500	1.4
Exploration Invest	Norway	1 200 000	1.4
Petrolia Invest AS	Norway	1 198 900	1.4
Balanced Rock AS	UK	1 153 765	1.3
Parmod Kumar Bhandari	Norway	800 000	0.9
Brown Brothers Harriman & Co	Norway	724 250	0.8
Thomas A. Collins	USA	600 907	0.7
Six Sis AG	Norway	582 170	0.7
Citibank, N.A.	Norway	570 750	0.7
Arne Fredrik Hellestø	USA	566 556	0.7
Ole Andreas Baksaas	Luxembourg	537 009	0.6
Nordnet Pensjonsforsikring	Norway	530 161	0.6
Kim Erik Andreassen	Sweden	450 100	0.5
UBS AG	Sweden	438 790	0.5
Biovisjon Holding AS	Norway	432 638	0.5
Trond Wikborg	Norway	395 400	0.5
Nordnet Bank AB	Norway	394 672	0.5
Kjetil Sundet	Norway	390 325	0.4
Total top 20 shareholders		37 786 067	43.4
Other shareholders		49 269 433	56.6
Total		87 055 500	100.0

Share data

	2013	2012	2011
Market price at 31 December (NOK)	0.87	1.16	1.16
- high	1.89	2.32	15.20
- low	0.85	1.07	0.88
Average outstanding shares	87 055 500	87 055 476	84 078 609
Treasury shares	6 212	6 212	6 212
Outstanding shares at end of period	87 055 500	87 055 500	87 055 447
Market cap. at 31 December (MNOK)	76	101	101
Number of shareholders at 31 December	4 522	5 060	5 637

THE BOARD OF





DIRECTORS' REPORT

The Board of Directors' report

Introduction

Rocksource ASA is the parent company of the Rocksource group ("Rocksource", "the Company" or "the Group"), which explores for oil and gas with a focus on offshore Norway. The Company is headquartered in Bergen. It will have co-located all activities to Bergen by the end of 2014.

Summary of main events in 2013 and subsequent period as of the date of this report

Rocksource returned to exploration and appraisal drilling in 2013, following a hiatus in 2012, a year in which the Company went through financial and operational restructuring. In 2013 Rocksource participated in two wells. One was the Storbarden exploration well in the North Sea and the other was an appraisal of the 2011 Norvarg discovery in the Barents Sea. In January 2014, two more wells spudded, both exploration wells; these were on the Langlitinden and Pil prospects located in the Barents Sea and Norwegian Sea respectively. While the Storbarden well was classified as dry, both the Norvarg and Langlitinden wells proved substantial in place volumes. However, due to

poor reservoir characteristics, both discoveries were classified as uncommercial.

The Pil well, on the contrary, contained a significant oil and gas resource base in a reservoir rock with excellent properties. Preliminary estimates by the Operator VNG Norge AS (VNG) place the size of the Pil discovery at between 8 and 27 million Sm³ recoverable oil equivalents (50 to 170 million barrels oil equivalent). VNG has also stated that there remains considerable additional upside potential within the Pil closure, which was not proven by this first well.

Organic growth through awards in the Norwegian Continental Shelf ("NCS") licensing rounds has been a key part of the Company's strategy since inception. In 2013, Rocksource added significant resource potential through successful awards in both the Awards in Predefined Areas ("APA") and the 22nd Licensing Round ("22nd Round"). In the 22nd Round, Rocksource

was granted three Barents Sea licences, and in the 2013 APA round, the Company was awarded five new licences. In April 2014, the Rocksource NCS portfolio amounted to 24 licences, a substantial increase from the 14 licences a year earlier. The Board of Directors ("Board") is gratified that the Company's technical competence is repeatedly verified through consistent excellent feedback from the Norwegian Petroleum Directorate and during licence awards.

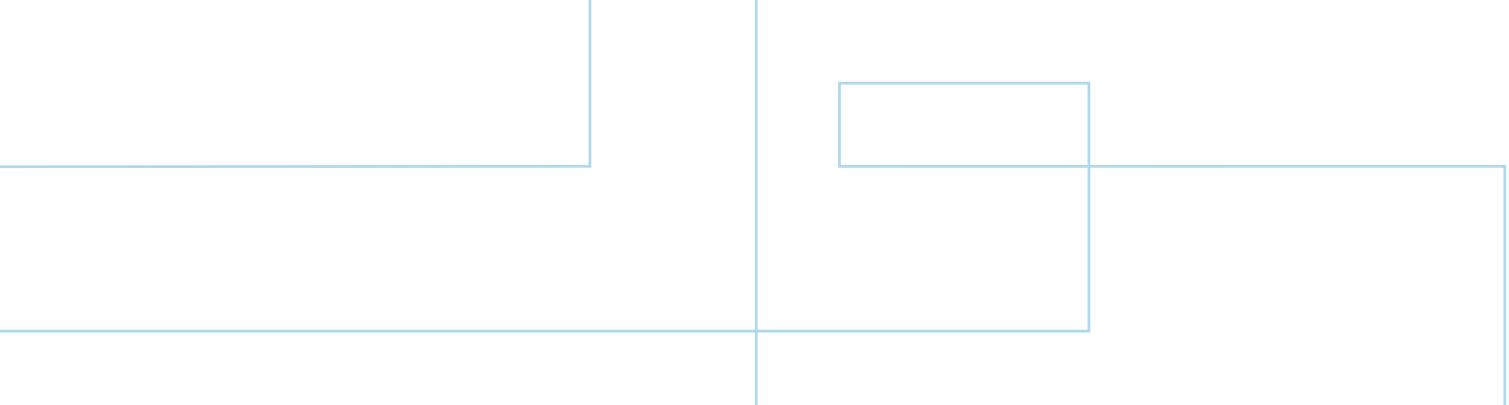
The Storbarden well was Rocksource's second operated well on the NCS and was completed with no HSE incidents. The successful completion of the Storbarden well was another important milestone for Rocksource as it demonstrated clearly the Company's competence as an operator in the Norwegian sector. Despite the disappointing result, the Company retains its operator ambitions, and at the time of this report controls seven operated licences.

Rocksource's exploration model is to combine solid geological expertise with advanced seismic and electromagnetic ("EM") data analysis, where applicable. EM, seismic Direct Hydrocarbon Indicators ("DHIs"), advanced geophysical tools such as Amplitude Versus Offset ("AVO") and other special studies concerning sediment deposition, trap creation and oil migration are used, where applicable. By integrating these different exploration technologies and applying the results in a structured exploration risk- and decision making process, Rocksource stands out from many of its peers.

Operational review – NCS

The NCS remains Rocksource's core area. As at April 2014, the Company held 24 NCS licences.

During 2013 the Company participated in drilling two wells. These were both on the NCS; in the Rocksource operated PL 506S in the North Sea and in PL 535 in the Barents Sea. The Storbarden well (PL 506S) was the second well on the NCS that Rocksource has drilled as operator; it was completed with no HSE incidents, within time and under budget. Drilling on the Storbarden prospect commenced in April. The objective was to test a new charge and retention model in the Stord Basin in the North Sea. Although hydrocarbon shows were encountered in the Hordaland group the well was classified



as dry. Data acquisition and sampling were carried out and post-well analysis continues. The PL 506S partnership comprises Rocksource (Operator, 25 per cent), Petrolia (30 per cent), Ithaca Energy (25 per cent) and Petoro (20 per cent).

Drilling of an appraisal well on the Total-operated Norvarg gas discovery commenced in May and was concluded safely, on time and budget in August. Norvarg is located in PL 535 in the Barents Sea about 275 kilometres north of Hammerfest in the Barents Sea. A discovery was made in 2011, in reservoir rocks from the Middle Jurassic (Stø Formation) and Late and Middle Triassic (Snadd, Kobbe and Havert Formations). The appraisal well was located five kilometres northeast from the discovery well. The well found a thick gas interval, more sand and better porosities than in the discovery well, but productivity was lower than expected. Two production tests proved up a maximum rate of 175 000 Sm³ gas flow per day. Extensive data acquisition and sampling was carried out. Post well analysis is currently on-going.

The PL 535 partnership consists of Total (Operator, 40 per cent), North Energy (20 per cent), Ithaca Energy (13 per cent), Det norske (10 per cent), Statoil (10 per cent) and Rocksource (7 per cent).

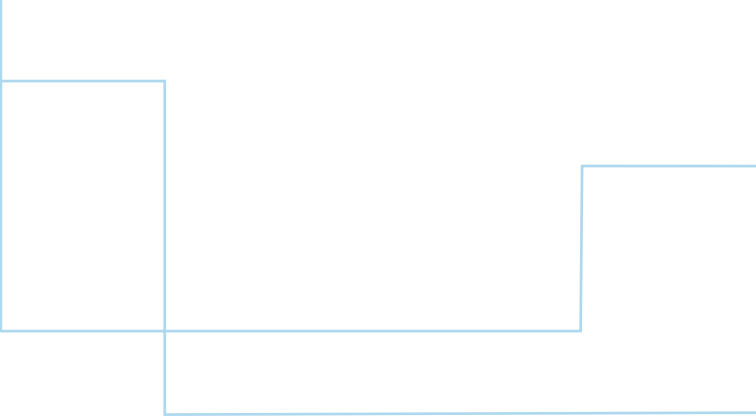
Two more exploration wells that were previously expected to spud in late 2013, commenced operations in January 2014. These were the Langlitinden well in PL 659 in the Barents Sea and the Pil well in PL 586 in the Norwegian Sea.

The Langlitinden well encountered a gross oil column of about 30 metres in the Kobbe Formation, however the reservoir quality was poorer than expected. Several thin layers of sandstone were also found deeper in the Kobbe Formation, but these were tight. No oil/water contact was encountered. Further the poor reservoir properties meant that it was not possible to establish gradients from the pressure measurements, meaning that it was not possible to extrapolate an oil/water contact. Extensive data acquisition and sampling were carried out including a Formation test (mini-DST), which confirmed the poor flow properties. Preliminary assessment indicates that the discovery is not commercially attractive. The Operator is now analysing all results from the well and evaluating impact on further prospectivity within the licence. The PL 659 partnership contains Det norske (Operator, 30 per cent), Petoro (30 per cent), Lundin (20 per cent), Tullow Oil (10 per cent), Ithaca Energy (5 per cent) and Rocksource (5 per cent).

In March 2014, Rocksource announced a significant oil and gas discovery in the Pil prospect in PL 586.

A successful production test (a Drill Stem Test/DST) was completed in April. The well flowed at 1067 Sm³ (6700 barrels) of oil per day, exceeding expectations. This rate does not reflect the full potential from the well as it was constrained by the facilities on the rig. Pressure measurements indicate a continuous

The Pil well contained a significant oil and gas resource base in a reservoir rock with excellent properties.



reservoir system capable of sustaining higher flow rates than those observed during the DST. The site sampling of the fluid produced during the DST indicate the presence of 37°API oil with a gas/oil ratio of 152 Sm³/Sm³, to be confirmed by onshore laboratory testing.

Preliminary estimates by the Operator VNG place the size of the Pil discovery at between 8 and 27 million Sm³ recoverable oil equivalents (50 to 170 million barrels oil equivalent).

Drilling on Pil will continue through the second quarter of 2014. VNG will first drill a down-dip sidetrack to prove the lateral extent of the Pil reservoir and test the upside within the closure. This will be followed by a second sidetrack to assess the potential of the neighbouring Bue target. Further appraisal drilling is expected in 2015.

Rocksource farmed into PL 586 in 2012. This represented the Company's first ever NCS farm-in. This move reflected a key shift in strategy and has proven successful. Rocksource will continue to monitor the farm-in market closely with a view to identifying attractive licences and prospects to add to the Company's portfolio.

Pil is located within tieback distance (~30 km) of the producing Njord field. The PL 586 partnership comprises of VNG (Operator, 30 per cent), Spike Exploration (30 per cent), Faroe Petroleum (25 per cent) and Rocksource (15 per cent).

Over the years, Rocksource has demonstrated its ability to submit competitive applications in the NCS licensing rounds. This was maintained in 2013 which denoted a particularly successful year with the Company receiving high quality awards in both the 22nd Round and APA 2013.

Results from the highly competitive 22nd Licensing Round were announced in June. Rocksource was awarded three Barents Sea licences; PL 717, PL 722 and PL 535B, an extension of the PL 535 licence described above.

PL 717 is located on the western part of the Loppa High on the same geological trend as the Skrugard and Havis discoveries. Phase one of

the work programme (two years) includes 3D seismic acquisition and a drill-or-drop decision, while phase two includes a well. The partnership comprises ENI (Operator, 40 per cent), Edison (20 per cent), Statoil (20 per cent) and Rocksource (20 per cent).

PL 722 is located within the Hoop area. Phase one of the work programme (three years) includes 3D seismic acquisition, evaluation of the need for additional EM data, and a drill-or-drop decision, while phase two includes a well. The partnership comprises GDF Suez (Operator, 30 per cent), Tullow Oil (30 per cent), North Energy (20 per cent) and Rocksource (20 per cent).

In the APA 2013 Licensing Round, where results were announced in January 2014, Rocksource was granted an additional five licences. These were PL 746 S, PL 754, PL 756, PL 763 and PL 509 CS.

Rocksource was awarded operatorship and 40 per cent ownership in PL 746 S, located in the mature South-Western Rimbaks/Gullfaks area of the North Sea. Producible hydrocarbons have already been proven and tested within the licence. Phase one of the work programme consists of 3D seismic purchases. Within one year, a drill-or-drop decision has to be made. The licence group consists of Rocksource (Operator, 40 per cent), Tullow Oil (30 per cent) and Concedo (30 per cent).

PL 754 and PL 756 are both located in the Haltenbanken area in the Norwegian Sea. Phase one of the work programmes consists of 3D seismic reprocessing and 3D purchase, respectively. The PL 754 licence group consists of Rocksource (Operator, 40 per cent), Faroe Petroleum (30 per cent) and Centrica (30 per cent), while the PL 756 partnership is headed by PGNiG (50 per cent) with Idemitsu (25 per cent) and Rocksource (25 per cent) as partners.

Furthermore, Rocksource was awarded 30 per cent ownership in the Norwegian Sea licence PL 763 with partners Repsol (Operator, 40 per cent) and Atlantic Petroleum (30 per cent). Phase one of the work programme consists of the purchase and reprocessing of 3D seismic. Within two years, a drill or drop decision has to be made.

Over the years,
Rocksource has demonstrated its ability
to submit competitive applications
in the NCS licensing rounds.

Finally, in PL 509 CS in the North Sea, the Company was awarded a 10 per cent equity stake. The work programme in this licence follows the one of PL 509 S. The licence group consists of North Energy (Operator, 55 per cent), Fortis (35 per cent) and Rocksource (10 per cent).

The awards in the 22nd Round and APA 2013 Licensing Round represent a significant upgrade to both the size and quality of Rocksource's exploration portfolio.

Rocksource continues to mature the remainder of its NCS portfolio. In 2013, the Company acquired seismic data on PL 506, 509, 586, 601, 602, 610, 717 and 722 as part of work programme commitments and in preparation for future drill-or-drop decisions.

No NCS licences were relinquished in 2013. However, a number of licences face drill-or-drop decisions in 2014.

Operational review – International activities

Rocksource's international portfolio is held mainly through nine leases in the Gulf of Mexico ("GoM"). The core area within Rocksource's GoM portfolio comprises the Trident leases and the adjacent AC 855 lease. Rocksource is currently evaluating several strategic considerations regarding its ownership in GoM among others, farm-down, partial sale of all or some leases or attract an operator to assist in maturing the leases for further exploration and development. A Houston based broker

is retained to assist Rocksource. As of April 2014, several companies are investigating the opportunity. In general, interest has picked up in Rocksource's core area leases. This reflects the discoveries made by Pemex across the border in Mexico. These are in the same geological play. The Company's GoM leases carry no work obligations and are valid until 2018/19.

In India, Oil and Natural Gas Corporation of India ("ONGC") continues to consider its position relative to Rocksource's role and responsibilities related to the CY-DWN-2001 exploration block located in the Cauvery Basin. In January 2014 Rocksource received a legal notice from the ONGC invoking arbitration related to disputes over historical costs in the CY-DWN-2001/1 Production Sharing Contract ("PSC") offshore India. The Company's firm view remains that it is not liable for any costs on the block.

In 2008, Rocksource executed a memorandum of understanding ("MoU") with ONGC, and later that year signed an agreement to farm into the CY-DWN-2001/1 PSC. The farm-in carried with it a contingent licence commitment for the first phase of the PSC consisting of a three well work programme. The process for assignment of Rocksource's Participating Interest did not complete within the time allowed in the agreement. Rocksource did not sign either the PSC or Joint Operating Agreement, and therefore never formally became a partner in the block. ONGC relinquished the PSC in 2011. ONGC has now invoked arbitration under the terms and conditions of the PSC. Rocksource's position remains that (inter alia) ONGC breached the intent of the MoU, breached terms of its agreement with Rocksource on multiple occasions, failed to complete the assignment in time and failed to demonstrate adequately the validity of the PSC.

The cost claimed by ONGC for Rocksource's share of the completed work programme is approximately USD 20 million. According to invoices sent by ONGC, approximately USD 15 million of this amount became due in February 2010. Rocksource has received advice from two reputable, India-based legal firms, that the prescription period for such claims under Indian contract law is three years. It therefore remains the Company's position that, in addition to its legal arguments, some USD 15 million of the USD 20 million claimed by ONGC became prescribed before ONGC invoked arbitration. It is Rocksource's understanding that it is likely to take at least three years before arbitration can be completed with any eventual ruling potentially enforceable against Rocksource in Norway.

*Rocksource aspires to participate in on average **three high quality wells** per year on the NCS.*

Financing

Following the asset deal with Ithaca Energy in 2012, all of Rocksource's 2013 drilling cost was carried by Ithaca Energy, thus securing sufficient financing for the activities throughout the year. The key financial outgoings were the drilling of the Storbarden and Norvarg wells. The NCS exploration credit facility with SEB Merchant Banking was utilised in 2013, and a new agreement with a total frame of NOK 300 million for use in 2014 was also completed. Towards the end of the year, the Company completed a sale of EM software and -data, and farm-down of its position in PL 528, thus improving the financial basis entering 2014.

Given the discovery on the Pil prospect in PL 586 the exploration costs for this licence have increased significantly. Consequently the Company needs to further improve its financial base to cover these costs and to have a fully funded business plan for the remainder of 2014. Such improvements might come from portfolio optimization, including further farm-down on licences and assets sales, and/or a potential strengthening of the balance sheet through conventional financial sources as equity and debt.

Tax

In a ruling in the Norwegian Oil Taxation Board ("OTB") in May 2012, it was decided that tax refunds of NOK 48.3 million would have to be repaid, following changes imposed on the pricing of EM interpretation services provided to Rocksource and its licence partners from Rocksource's wholly owned subsidiary Rocksource Geotech AS. The profit and loss effect and the cash impact from the ruling was accounted for in 2012. The ruling from the OTB has been appealed and will be reviewed by the Complaints Board for Oil Taxation. The Company is currently in the appeal process.

As a consequence of the corporate restructuring completed on the 31 December 2012 the Company was paid the tax value of its uncovered losses pursuant to the Norwegian Petroleum Taxation Act section 3(c)(4). The payment received in December 2013 amounted to NOK 98.8 million, and came in addition to the exploration tax refund of NOK 139.5 million.

Organisation & HSE

There were no reported incidents related to Rocksource's operations in 2013. A core principle of Rocksource is the prevention of any incidents or accidents to employees or partners working with the Company and to conduct business in a way which will not damage the environment. The Company's Management System plays a vital role in equipping the employees with the necessary framework to conduct operations in a safe, environmentally responsible and ethically sound manner. No digressions were reported in 2013. The Company's Business Practices are available on www.rocksource.com.

At the end of 2013, Rocksource employed 33 employees, a reduction from 34 at year-end 2012. The Company aims to have a good gender balance and is an equal opportunity employer. At year end 2013, the Company employed 11 females and 22 males.

The sickness absence rate remained low throughout the year at 2.6 per cent of total hours worked. The low sickness absence ratio is an indicator of the Company's good working environment.

At the Company's General Meetings during the spring of 2013, a new Board of Directors was elected. Out of the five directors elected, two were female.

Consolidated income statement, cash flow and financial position

Result for the year

Total revenue for 2013 was NOK 59.3 million compared with NOK 55.6 million for 2012. Total exploration expenses in 2013 were NOK 232.5 million compared with NOK 235.8 million in 2012. Exploration expenses for 2013 include NOK 86.2 million from the write-down of capitalised costs related to the Norvarg discovery in licence PL 535.

Drilling costs related to the wells at Storbarden and Norvarg did not impact the year's exploration expenses as these fell within the Ithaca Energy (former Valiant Petroleum) carry-fund. Under the terms of the agreement between Ithaca Energy and Rocksource which

was entered into in 2012, Ithaca Energy provided NOK 200 million (pre-tax) in total to pay for Rocksource's share of exploration expenses in the licences that Ithaca Energy farmed into (the "carry-fund"). The remaining available carry-fund balance as of 31 December 2013 was NOK 21.7 million.

The Group wrote down the remaining NOK 10 million in goodwill associated with EM technology in 2013. Consequently, there is no goodwill as of year-end. The write-down does not have a cash impact. More details are provided in note 8.

EBITDA for 2013 was negative at NOK 187.1 million. In 2012 EBITDA was also negative at NOK 189.1 million. Total net financial income was NOK 9.2 million versus a net financial expense of NOK 65.0 million for 2012. The net financial expenses for the financial year 2012 reflected three main factors. First there was interest expense on a bond loan, which was repaid in May 2012. Secondly there was interest on a larger drawdown amount of the exploration credit facility than for the corresponding period in 2013. Thirdly, there was an impairment of the investment in an associate.

The Group received a tax return refund of NOK 238.3 million in 2013. This consisted of the NCS exploration tax refund, totalling NOK 139.5 million, as well as a NOK 98.8 million pay-out of the tax value of uncovered losses related to restructuring activities of NCS in 2012. Income tax in 2013 was NOK 150.5 million, compared with NOK 147.1 million in 2012.

The net loss for 2013 amounted to NOK 39.3 million compared with a loss in 2012 of NOK 201.7 million. The net loss amounts to both basic and diluted earnings of minus NOK 0.451 per share (NOK 2.317 per share in 2012).

Financing, cash flow and financial position

Rocksource's total balance sheet as of 31 December 2013 was NOK 305.5 million compared with NOK 465.6 million at year-end 2012. The decrease from 2012 is mainly a result of a write-down of NOK 86.2 million on PL 535 (Norvarg) and a reduction in tax receivables.

Equity as of 31 December 2013 was NOK 154.3 million compared with NOK 212.5 million at year-end 2012, giving an equity ratio of 50.5 per cent, up from 45.6 per cent at year-end 2012.

The cash position at year-end 2013 was NOK 127.2 million, up from NOK 88.8 million at year-end 2012. Net cash flow from operat-

ing activities totalled NOK 80.7 million which included the NOK 238.3 million tax refund on exploration expenses and corporate restructuring. Net cash flow from operating activities in 2012 was a positive NOK 334.2 million.

Net cash flow from investing activities in 2013 was negative at NOK 18.2 million. Cash flow from investing activities in 2012 was a positive NOK 72.1 million, influenced by NOK 76.5 million in proceeds from asset sales. Total cash flow from financing activities was negative at NOK 24.3 million, including a repayment of short term debt of NOK 121.5 million.

The book value of the Group's interest bearing debt was NOK 98.0 million at year end 2013, representing only the NCS credit facility with SEB Merchant Banking. Interest bearing debt at year-end 2012 was NOK 120.2 million.

Total drawdown on the NCS exploration credit facility in 2013 was NOK 99 million. This amount will be repaid when the Company receives its exploration tax refund in December 2014. Accordingly, the previous NCS credit facility of NOK 121.5 million, which relates to 2012 exploration expenses, was repaid when the Company received its exploration tax refund in December 2013.

Rocksource ASA – Income statement, balance sheet and cash flow

Rocksource ASA is the parent company of the Rocksource Group. Its financial statements have been prepared on the assumption that Rocksource will continue as a going concern. Some further financing is required as elaborated in the "Finance" section. This going concern assumption is founded on the same expectations on which the Board of Directors has based its plans for development of Rocksource ASA as described above, and satisfactory liquidity.

Rocksource ASA reorganised the corporate structure of the Group as of 31 December 2012. The aim was to create an entity more aligned with its operations and jurisdictions and that the Company treats its NCS activities in the same way as those in other countries within the Group. This means that all licences, related assets, contracts and personnel were transferred to the wholly owned subsidiary Rocksource Exploration Norway AS. Rocksource Exploration Norway AS thereby became the owner of all the Group's licences on the NCS, and Rocksource ASA has discontinued its direct petroleum activities.

Rocksource ASA's total operating sales of NOK 4.6 million in 2013 (NOK 57.9 million in 2012) primarily relate to sale to other Group companies. The operating loss for 2013 was NOK 5.5 million (NOK -159.1 million in 2012).

Rocksource ASA's 2013 tax expense was NOK 1.6 million compared with a tax income of NOK 147.1 million in 2012. As a consequence of the restructuring, Rocksource claimed payment from the Norwegian government of the tax value of its uncovered losses pursuant to the Norwegian Petroleum Taxation Act section 3 (c) (4), which was received in December 2013. Rocksource ASA received NOK 241.7 million, including interest. This consisted of ordinary exploration tax refund totalling NOK 139.5 million as well as the pay-out of the tax value of uncovered losses totalling NOK 98.8 million related to the restructuring in 2012. The total refund was paid out according to the Company's tax return. The ordinary exploration tax refund is pledged as part of the exploration credit facility with SEB Merchant Banking.

Net profit for 2013 was NOK 5.7 million compared with a net loss of NOK 270.6 million in 2012. The Board of Directors proposes that the profit for the year in the parent Company of NOK 5.7 million is allocated to paid-in capital.

Equity as of 31 December 2013 was NOK 215.3 million compared with NOK 209.7 million at year-end 2012.

Share information

As at 31 December 2013 Rocksource ASA had 87,055,500 shares outstanding and a total of 6,212 treasury shares, each with a nominal value of NOK 0.10. All shares have equal rights. The share price on the last day of trading in 2013 was NOK 0.87, while on the last day of trading in 2012 the share price was NOK 1.16, representing a 25 per cent decrease over the year. The share price peaked at NOK 1.89 on 17 April, while the lowest price in 2013 was NOK 0.85 on 3 December. At the time of writing (8 April 2014) the share price is NOK 3.16 representing a market capitalisation of Rocksource of approximately NOK 275 million.

Financial market risk

The Company is primarily exposed to risk in connection with fluctuations in exchange rates and interest rates. With no producing assets, Rocksource's business is not greatly affected by short term fluctuations in oil and gas prices.

The Company is exposed to exchange rate risk to a certain degree. This primarily relates to the USD as activities are often linked to contracts quoted in this currency. Exposure to the USD will increase in periods when the Company participates in drilling operations.

The Company is exposed to a moderate element of interest rate risk as a result of the exploration credit facility. In light of very moderate sales and the fact that the Company has no placements in the capital market, the Board of Directors considers the credit risk to be low. However, the Company remains focussed on counterparty risk in all its transactions to avoid any unwanted exposure.

Corporate Governance

Rocksource complies with the Norwegian Code of Practice for Corporate Governance dating 23 October 2012 (the Code of Practice). The Code of Practice issued by the Norwegian Corporate Governance Board is available at www.nues.no.

Rocksource focuses in particular on business practices, communications with shareholders and the market, owner influence and independence. In accordance with the Norwegian Accounting Act section 3-3b and the Code of Practice, the Company has prepared a report for each of the individual points contained therein. The report is included in the Annual Report.

Corporate Social Responsibility, ethics and anti-corruption

All business conducted by or on behalf of Rocksource shall be in accordance with applicable laws and regulations and will be conducted in a safe, ethical, sustainable and socially responsible manner.

No code or manual can provide definitive answers to all questions relating to ethics in business practice. Ultimately, the Company must rely on the good sense and judgment of the individual conducting business on behalf of Rocksource, to define what is required to adhere to its standards in its Business Practices available on the Company's website. This includes knowing when to seek guidance, and the ability to provide timely and specific guidance. Rocksource emphasizes the impor-

Drilling candidates for 2015 and beyond are continuously being assessed.

tance of maintaining an open dialogue on ethical issues, internally and externally.

The Company's ability to create sustainable value in the long term fully depends on its ability to apply high ethical standards in all parts of its operations. This is the basis for a trust-based and binding relationship with the community, the Company's owners, employees, partners, customers and suppliers.

Rocksource aspires to create an inclusive work environment where every employee has an equal opportunity to develop his or her skills and talents. Rocksource respects the rights and dignity of all employees.

The direct or indirect offer, payment, soliciting or acceptance of bribes or facilitation payments in any form are unacceptable. Rocksource will not offer or make an unauthorized payment, or authorize an improper payment (cash or otherwise) to a local or foreign official, or any related person or entity.

Outlook

A key feature of the Company's new strategy from 2012 was a refocussing on the NCS. This strategy is now starting to yield positive results. Success in the 22nd Licensing Round was followed by another excellent set of awards in the APA 2013. With the announcement of the Pil discovery in March 2014, the Company is encouraged that it has made its first commercial offshore oil and gas discovery.

Rocksource aspires to participate in on average three high quality exploration/appraisal wells per year on the NCS. A third well in 2014 is expected towards the end of the year with the spud of the Ivory well in PL 528. Drilling candidates for 2015 and beyond are continuously being assessed.

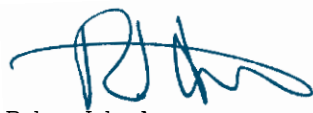
While Rocksource is primarily focussing its effort towards the NCS, it continues its effort to attract partners for its GoM portfolio. Interest in the Perdido region has been reviving through 2013 and into 2014 on the back of several successful exploration wells drilled by Pemex in the Perdido foldbelt.

The Company is continuously evaluating adequate measures to ensure a more long term robust capitalisation.

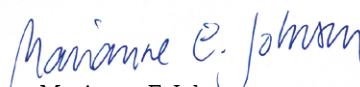
Oslo, 8 April 2014



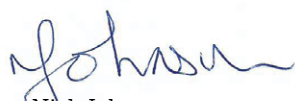
Ole Wiborg
Chairman



Robert John Arnott
Board Member



Marianne E. Johnsen
Board Member



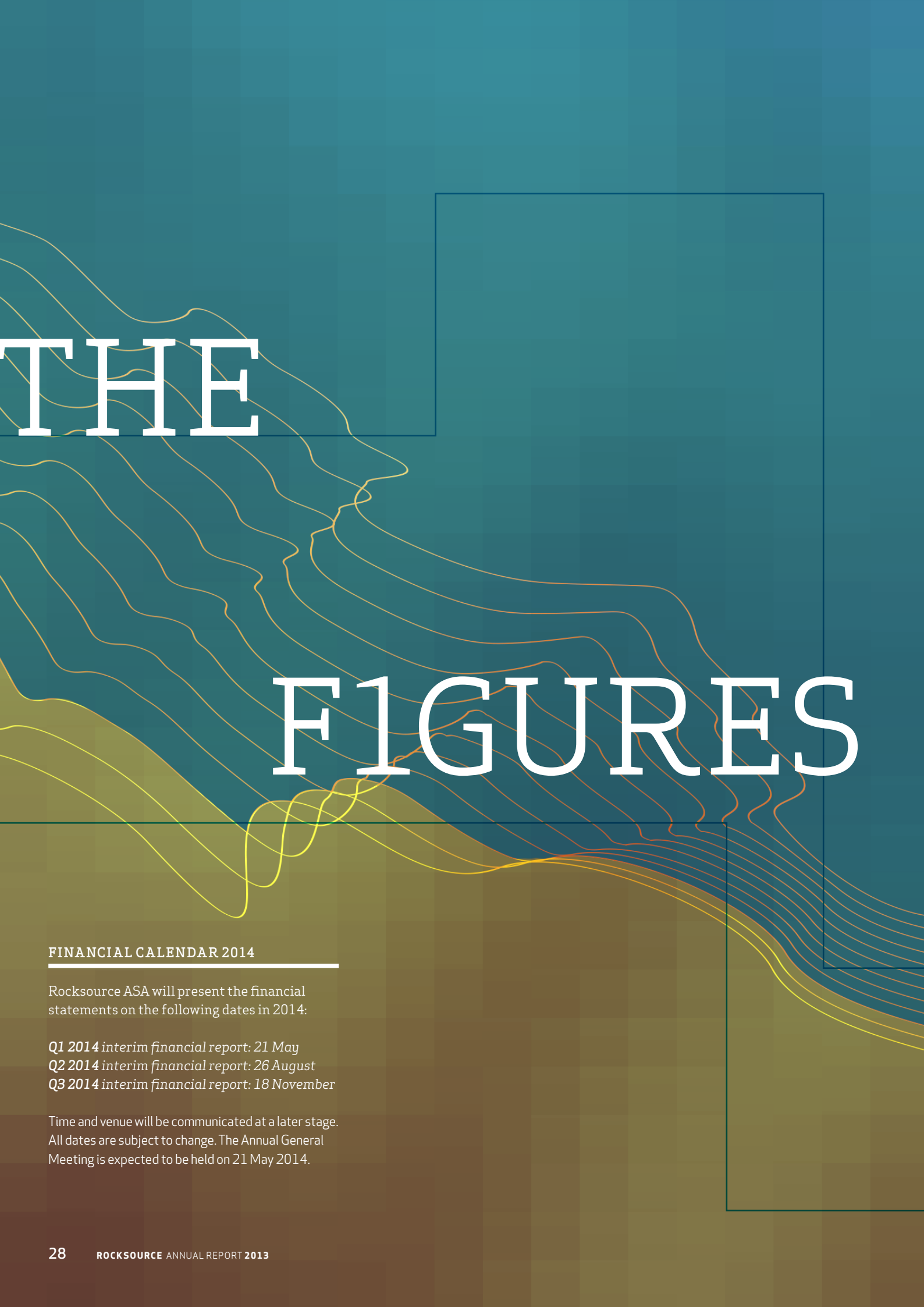
Nick Johnson
Board Member



Susan Graham
Board Member



Chris Spencer
Chief Executive Officer



THE

FIGURES

FINANCIAL CALENDAR 2014

Rocksource ASA will present the financial statements on the following dates in 2014:

Q1 2014 interim financial report: 21 May

Q2 2014 interim financial report: 26 August

Q3 2014 interim financial report: 18 November

Time and venue will be communicated at a later stage.
All dates are subject to change. The Annual General Meeting is expected to be held on 21 May 2014.

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Income statements 01.01 - 31.12

Figures in NOK 1000

	Notes	2013	2012
OPERATING INCOME			
Revenue		59 282	14 333
Other operating income		-	41 246
Total operating income	1, 22	59 282	55 579
OPERATING EXPENSES			
Exploration expenses	1, 3	-232 492	-235 758
Other general and administrative expenses	1, 2, 4, 16, 21	-13 874	-8 934
Depreciation and amortisation	1, 7, 8	-1 887	-1 638
Impairment charge	1, 8	-10 000	-93 000
Total operating expenses		-258 253	-339 330
Operating profit/(loss)		-198 970	-283 751
FINANCIAL INCOME/(EXPENSES)			
Share of income/(loss) in associates	1, 5, 14	-	-26 148
Financial income	1, 5, 18	20 363	15 886
Financial expenses	1, 5, 14, 18	-11 210	-54 755
Net financial income/(expenses)		9 153	-65 017
Profit/(loss) before taxes		-189 817	-348 768
Income tax	1, 6	150 521	147 057
Net profit/(loss)		-39 296	-201 711
Attributable to:			
Equity holders of the parent		-39 296	-201 711
Minority interest		-	-
Net profit/(loss)		-39 296	-201 711
Earnings per share			
Basic and diluted earnings per share (NOK)	11, 12	-0.451	-2.317

Statements of comprehensive income

Figures in NOK 1000

	2013	2012
Net profit/(loss)	-39 296	-201 711
Other comprehensive income to be reclassified to profit and loss in subsequent periods:		
Exchange differences on translating foreign operations	-18 829	9 372
Total comprehensive income/(loss) for the period	-58 125	-192 339
Total comprehensive income attributable to:		
Equity holders of the parent	-58 125	-192 339
Minority interest	-	-
Total comprehensive income/(loss) for the period	-58 125	-192 339

Statements of financial position as of 31.12

Figures in NOK 1000

Notes

2013

2012

ASSETS

NON-CURRENT ASSETS

Intangible assets

Goodwill	8	-	10 000
Capitalised exploration and acquisition costs	8	46 464	116 710

Total intangible assets		46 464	126 710
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Tangible assets

Furniture, fixtures and office machines	7	2 914	2 771
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Total tangible assets		2 914	2 771
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Total non-current assets		49 378	129 481
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CURRENT ASSETS

Accounts receivable	9, 19	26 687	713
Tax receivable NCS	6, 19	90 994	238 588
Other receivables	9, 19	11 218	8 041
Cash and cash equivalents, restricted guarantees	10, 19	4 903	8 661
Cash and cash equivalents	10, 19	122 285	80 139

Total current assets		256 087	336 142
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TOTAL ASSETS		305 465	465 623
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Figures in NOK 1000

Notes

2013

2012

EQUITY AND LIABILITIES**EQUITY****Paid-in capital**

Share capital	11	8 706	8 706
Treasury shares	11	-22	-22
Share premium		86 927	86 927
Currency translation differences		30 171	49 000
Additional paid-in capital		902 374	902 436

Total paid-in capital		1 028 155	1 047 047
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Retained losses

Retained earnings/(losses carried forward)		-873 864	-834 568
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Total equity		154 291	212 478
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LIABILITIES

Non-current liabilities			
Deferred tax liabilities	6	6 162	66 019

Total non-current liabilities		6 162	66 019
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Current liabilities

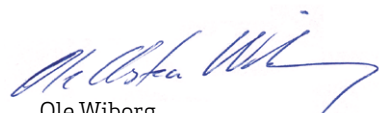
NCS credit facility	18, 19	98 014	120 240
Accounts payable and other payables	15, 19	45 811	64 060
Other current liabilities	15, 19	1 187	2 827

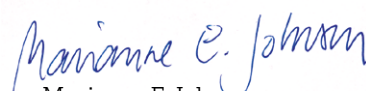
Total current liabilities		145 012	187 127
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Total liabilities		151 174	253 146
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TOTAL EQUITY AND LIABILITIES		305 465	465 623
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Oslo, 8 April 2014


Ole Wiborg
Chairman

Robert John Arnott
Board Member

Marianne E. Johnsen
Board Member

Nick Johnson
Board Member

Susan Graham
Board Member

Chris Spencer
Chief Executive Officer

Cash flow statements

Figures in NOK 1000

Notes

2013

2012

OPERATING ACTIVITIES

Profit/(loss) before taxes		-189 817	-348 768
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Profit/(loss) before taxes		-189 817	-348 768
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Adjustments for:

Net interest expenses/(income)	5	6 906	28 937
Share of income/(loss) in associates	14	-	26 148
Repayment following ruling in the OTB	6	-	-48 325
Tax refund NCS exploration expenses	6	238 259	564 003
Depreciation, amortisation and impairment	7,8	11 887	94 638
Previously capitalised exploration expenses	3	89 170	12 521
Share-based remuneration	21	-62	-3 393
(Gain)/loss from sale of assets	22	0	-41 229
Interest received		3 665	15 886
Interest paid		-9 128	-34 438
Changes in accounts receivable	9	-25 974	12 530
Changes in accounts and other payables	15	-18 249	40 979
Changes in other current balance sheet items		-25 962	14 703

Net cash flow from operating activities	1	80 695	334 193
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INVESTING ACTIVITIES

Proceeds from sale of assets	8,22	-	76 464
Additions to tangible assets and capitalised exploration expenses	7,8	-18 183	-4 382

Net cash flow from investing activities	1	-18 183	72 082
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FINANCING ACTIVITIES

Proceeds from issuance of short term debt	18	97 192	99 900
Repayment of short term debt	18	-121 500	-663 770

Net cash flow from financing activities	1	-24 308	-563 870
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Effect of changes in exchange rates on cash and cash equivalents		185	-774
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Net change in cash and cash equivalents		38 389	-158 370
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Cash and cash equivalents 01.01		88 800	247 169
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Cash and cash equivalents 31.12	10	127 188	88 800
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Where of restricted cash:		4 903	8 661
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Statements of changes in equity

Figures in NOK 1000	Notes	Share capital	Treasury shares	Share premium	Other paid-in equity	Currency translation differences	Retained losses	Total equity
Equity 1 January 2013	11	8 706	-22	86 927	902 436	49 000	-834 568	212 478
Net profit/(loss) for the period		-	-	-	-	-	-39 296	-39 296
Exchange differences on translating foreign operations		-	-	-	-	-18 829	-	-18 829
Total comprehensive income/(loss)		-	-	-	-	-18 829	-39 296	-58 125
Share-based remuneration	21	-	-	-	-63	-	-	-63
Equity 31 December 2013	11	8 706	-22	86 927	902 374	30 171	-873 865	154 291
Equity 1 January 2012	11	348 222	-25	222 444	430 798	39 628	-632 856	408 210
Net profit/(loss) for the period		-	-	-	-	-	-201 711	-201 711
Exchange differences on translating foreign operations		-	-	-	-	9 372	-	9 372
Total comprehensive income/(loss)		-	-	-	-	9 372	-201 711	-192 339
Net capital increase	11	0.4	-	-	-	-	-	0.4
Share-based remuneration	21	-	-	-	-3 393	-	-	-3 393
Transfers	11	-339 516	-	-135 517	475 034	-	-	-
Treasury shares, reversed split	11	-	3	-	-3	-	-	-
Equity 31 December 2012	11	8 706	-22	86 927	902 436	49 000	-834 568	212 478

Summary of significant accounting policies

1 Corporate information

Rocksource ASA ("the Company") is a Norwegian company, with the head office located at Thormøhlensgate 53D, Bergen. The Company is a public limited liability company and is listed on the Oslo Stock Exchange (Norway). The object of the company is to carry out exploration for and production of oil and gas, among other by application of advanced technology, and all other activities that may reasonably be associated therewith, hereunder participation in other companies world-wide, including debt financing of subsidiaries and associates. For more details of the Company's activities, see the Board of Directors' Report.

The consolidated financial statements for the financial year 2013 include the Parent Company and all its subsidiaries (together referred to as "the Group"). The Group consists of the parent company based in Norway, with subsidiaries in Norway, the United Kingdom and the US.

The consolidated financial statements were approved by the Board of Directors on 8 April 2014.

2 Basis of preparation

A STATEMENT OF COMPLIANCE

The consolidated financial statements are prepared in accordance with International Financial Reporting Standards (IFRS) of 31 December 2013 as adopted by the EU and with interpretations issued by the International Accounting Standards Board (IASB).

As permitted by IAS 1, the statement of comprehensive income is presented on a mixed basis as a blend of expenses by nature and function, as this gives the most relevant and reliable presentation for the Group.

B BASIS OF MEASUREMENT

The consolidated financial statements have been prepared on a historical cost basis, except the following: All derivatives, all financial assets and liabilities held for trading are measured at fair value.

C FUNCTIONAL AND PRESENTATION CURRENCY

The consolidated financial statements are presented in NOK and all tabular and note amounts are rounded to the nearest thousand, except when otherwise indicated. The consolidated financial statements are prepared with uniform principles for identical transactions and circumstances under otherwise identical conditions.

D USE OF ESTIMATES AND ASSUMPTIONS

The preparation of the consolidated financial statements in accordance with IFRS requires that management make considerations and estimates with assumptions that influence the use of accounting principles and recorded amounts for assets, liabilities, income and expenses. Estimates and assumptions are based on historical experience and other factors that are considered reasonable according to the circumstances. These calculations form the basis for an assessment of the carrying amount of assets and liabilities that do not emerge clearly from other sources. Actual results can differ from these estimates. Estimates and underlying assumptions are continually evaluated. Changes in accounting estimates are calculated in the period that the changes occur, if they concern that particular period. If the changes affect future periods, the effect is distributed over the current and future periods.

Exploration and evaluation expenditures

The application of the Group's accounting policy for exploration and evaluation expenditure requires judgement to determine whether future economic benefits are likely, from future either exploitation or sale, or whether activities have not reached a stage which permits a reasonable assessment of the existence of reserves. The determination of reserves and resources is itself an estimation process that requires varying degrees of uncertainty depending on how the resources are classified. These estimates directly impact when the Group defers exploration and evaluation expenditure. The deferral policy requires management to make certain estimates and assumptions about future events and circumstances, in particular, whether an economically viable extraction operation can be established. Any such estimates and assumptions may change as new information becomes available. If, after expenditure is capitalised, information becomes available suggesting that the recovery of

the expenditure is unlikely, the relevant capitalised amount is written off in the statement of profit or loss and other comprehensive income in the period when the new information becomes available.

Impairment testing of intangible assets

The Group's non-current assets are impaired when circumstances indicate that there may be a potential decline in value. Estimating recoverable amounts of assets are partly based on management evaluations, including estimates of future performance, revenue generating capacity of the assets, and assumptions of the future market conditions. Changes in circumstances and in management's evaluations and assumptions may give rise to impairment losses in the relevant periods.

The carrying value of goodwill is reviewed for impairment at least annually or whenever events or changes in circumstances indicate the carrying value may not be recoverable. Other intangible assets are reviewed for impairment whenever events or changes indicate that the carrying value may not be recoverable. This requires an estimation of certain key input that includes a considerable degree of uncertainty.

Impairment losses taken will, not be reversed in subsequent periods.

Deferred tax assets

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies. See note 6 for further information.

Contingent liabilities

Contingent liabilities are possible future liabilities that will only become certain on the occurrence of some future events.

Material contingent liabilities are disclosed, with the exception of contingent liabilities where the probability of occurrence is low.

E CHANGES IN ACCOUNTING POLICIES AND DISCLOSURES

The Group applied new and amended standards, and interpretations mandatory for the first time for the financial year beginning 1 January 2013. These are IFRS 13 Fair Value Measurement and amendments and IAS 1 Presentation of Financial Statements. Application of IFRS 13 has not materially impacted the fair value measurements of the Group. Additional disclosures where required, are provided in note 19. The amendments to IAS 1 introduce a grouping of items in OCI. The amendments affect presentation only and have no impact on the Group's financial position or performance.

IFRS 10 Consolidated Financial Statements, IFRS 11 Joint Arrangements, and IFRS 12 Disclosure of Interests in Other Entities

The changes introduced by IFRS 10 will require Management to exercise significant judgement to determine which entities are controlled, and therefore are required to be consolidated by a parent, compared with the requirements that were in IAS 27. This standard becomes effective for annual periods beginning on or after 1 January 2014 and the new standard will not have any material affect for the Group.

IFRS 11 removes the option to account for jointly controlled entities (JCEs) using proportionate consolidation. Instead, JCEs that meet the definition of a joint venture must be accounted for using the equity method. IFRS 11 replaces IAS 31 Interests in Joint Ventures and SIC-13 Jointly Controlled Entities – Non-monetary Contributions by Ventures. The Company has interests in licenses on the Norwegian Continental Shelf. Under IFRS 11 Joint arrangements a joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets and obligations for the liabilities, relating to the arrangement. The Company recognizes investments in joint operations (oil and gas licenses) by reporting its share of related expenses, assets, liabilities and cash flows under the respective items in the Company's financial statements.

For those licenses that are not deemed to be a joint arrangement under the definition in IFRS 11 because there is no joint control, the Company recognizes its share of related expenses, assets, liabilities and cash flows on a line by line basis in the financial statements in accordance with applicable IFRSs.

The standard is effective for annual periods beginning on or after 1 January 2014.

One of the most significant changes introduced by IFRS 12 is that an entity is now required to disclose the judgements made to determine whether it controls another entity. The requirements are more comprehensive than the previously existing disclosure requirements for subsidiaries. This standard becomes effective for annual periods beginning on or after 1 January 2014.

As a consequence of the new IFRS 11 and IFRS 12, IAS 28 has been renamed, and describes the application of the equity method to investments in joint ventures in addition to associates. The amendment becomes effective for annual periods beginning on or after 1 January 2013.

IFRS 9, as issued, reflects the first phase of the IASB's work on the replacement of IAS 39 and applies to classification and measurement of financial assets and financial liabilities as defined in IAS 39. If not early adopted, the standard becomes effective 1 January 2015. In subsequent phases, hedge accounting and impairment of financial assets will be addressed.

Other changes in accounting policies are considered to have immaterial effects for the Group.

F GOING CONCERN

The financial statements are based on the going concern assumption. However, there are uncertainties related to this assessment. Given the discovery on the Pil prospect in PL 586 the exploration costs for this licence has increased significantly. The increase is due to extensive data acquisition on the discovery and production test. Consequently the Company needs to further improve its financial base to cover these costs and to have a fully funded business plan for the remainder of 2014. Such improvements might come from portfolio optimization, including further farm-down on licences and assets sales, and/or a potential strengthening of the balance sheet through conventional financial sources as equity and debt. See also the Board of Directors report and note 19.

3 Significant accounting policies

A BASIS FOR CONSOLIDATION

Subsidiaries

The consolidated financial statements comprise the financial statement of Rocksource and entities controlled by the Company (its subsidiaries). Control is achieved where the Company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

The results of subsidiaries acquired or disposed during the year are included in the consolidated financial statement from the effective date of acquisition or up to the effective date of disposal, as appropriate.

The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting policies. All intercompany balances and transactions have been eliminated upon consolidation.

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any non-controlling interest in the acquiree.

The purchase consideration is allocated to the identifiable assets, liabilities and contingent liabilities (identifiable net assets) on the basis of fair value at the date of acquisition. These provisional estimates are finalised within 12 months of the acquisition date with adjustments being recorded against goodwill.

Goodwill is initially measured at cost, being the excess of the cost of the business combination over the Group's share in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities.

If the fair value attributable to the Group's share of the identifiable net assets exceeds the fair value of the consideration, the Group reassesses whether it has correctly identified and measured the assets acquired and liabilities assumed. Any additional assets or liabilities

that are identified in that review are recognised. If excess over fair value of the consideration remains after reassessment, the Group recognises the resulting gain in the income statement on the acquisition date.

Transaction costs related to business combinations are expensed. Transaction costs include costs related to the transaction, such as corporate advisors' fees, legal fees, due diligence fees, stamp duties, and accounting services.

Acquisitions made by the Company which do not qualify as a business combination under IFRS 3 "Business Combinations", are accounted for as asset acquisitions.

Investment in an associate

The Group's investment in associates is accounted for using the equity method of accounting. An associate is an entity in which the Group has significant influence over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20 and 50 per cent of the voting power of another entity.

The financial statements of the associate are prepared for the same reporting period as for the Group. Where necessary, adjustments are made to bring the accounting policies in line with the Group principles.

The investment in an associate is carried in the balance sheet at cost plus post-acquisition changes in the Group's share of net assets of the associate, less any impairment in value. The income statement reflects the share of the results of operations of the associate as financial income or expense. Where there has been a change recognised directly in the associate's equity, the Group recognise its share and discloses this, when applicable, in the statement of other comprehensive income.

The Group assesses investments in associates for impairment whenever events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication of impairment exists, the carrying amount of the investment is compared with its recoverable amount, being the higher of its fair value less costs to sell and value in use. Where the carrying amount exceeds the recoverable amount, the investment is written down to its recoverable amount.

Interest in joint ventures

Certain of the Group's activities, particularly in the exploration and production segment, are conducted through joint ventures where the ventures have a direct ownership interest in, and jointly control the assets of the venture. The Group recognises, on a line by line basis, its share of the assets, liabilities and expenses of these jointly controlled assets, along with the Group's income from the sale of its share of the output and any liabilities and expenses incurred in relation to the venture.

The Group does not recognise its share of profits and losses from the joint venture that result from the Group's purchase of assets from the joint venture until it divests the assets to an independent party. However, if a loss on the transaction provides evidence of a reduction in the net realisable value of current assets or an impairment loss, the loss is recognised immediately.

Elimination of transactions on consolidation

Internal transactions within the Group and intercompany items, including internal profit and unrealised gains, are eliminated.

B FOREIGN CURRENCY

The Group presents its consolidated financial statements in NOK. This is also the Parent Company's functional currency.

Transactions made in foreign currency

Transactions made in foreign currency are translated at the exchange rate valid at the time of the transaction. Monetary assets and liabilities in foreign currency are translated into NOK by using the exchange rate valid at year-end. The difference in exchange rates occurring during translation are included in the income statement. Non-monetary assets and liabilities that are measured at historical cost in a foreign currency are translated at the exchange rate at the time of the transaction. Non-monetary assets and liabilities with amounts in foreign currency and accounted for at fair value, are translated to NOK by use of the exchange rate applicable at the time when the fair value was established.

Financial statements for foreign entities

Assets and liabilities for foreign entities, including goodwill and fair value adjustments that occur upon consolidation, are translated into NOK at the exchange rate valid at year-end. Income and expenses from foreign entities are translated into NOK at a monthly average exchange rate. The exchange differences arising at translation are recognised in the statements of comprehensive income.

On disposal of a subsidiary, the deferred cumulative amount of exchange gains and losses recognised in equity is reclassified to the income statement.

C FAIR VALUE MEASUREMENT

For both financial statement measurement and note disclosure, fair value is estimated using inputs which are to varying degrees

objectively observable. Certain items are valued on the basis of inputs that are derived from observable prices, while certain positions are valued on the basis of judgmental assumptions that are to a limited degree or not at all based on observable market data.

D FINANCIAL INSTRUMENTS – INITIAL RECOGNITION AND SUBSEQUENT MEASUREMENT

Non-derivate financial assets and financial liabilities

Initial recognition and measurement

Financial assets and financial liabilities within the scope of IAS 39 are classified as financial assets and liabilities at fair value through profit or loss, loans and receivables, derivatives designated as hedging instruments in an effective hedge, loans and borrowings or other financial liabilities as appropriate. The Group determines the classification of its financial assets and liabilities at initial recognition. All financial assets and liabilities are recognised initially at fair value plus, in the case of investments not at fair value through profit or loss, directly attributable transaction costs.

The Group's financial assets include cash and short term deposits, trade and other receivables, loans, and derivative financial instruments. The Group's financial liabilities include accounts payable and other payables, loans and borrowings.

Subsequent measurement

The subsequent measurement of financial assets and liabilities depends on their classification as follows:

- Fair value with changes in value through profit or loss
- Loan and receivable
- Loan and borrowings
- Other liabilities

Fair value through profit and loss

Financial instruments that are primarily held with the objective of selling them or buying them back in the short term, financial instruments that form part of a portfolio of identified instruments which are managed together and where there are clear traces of short term realisation and derivatives that are not designated as hedging instruments are classified as held for trading purposes.

Upon initial recognition attributable transaction costs are recognised in profit or loss as incurred. Financial assets and liabilities at fair value through profit or loss are measured at fair value, and changes therein are recognised in profit or loss as a financial income or expense. Financial instruments held for trading purposes are classified as current assets or liabilities.

Derivate financial instruments

Derivative financial instruments such as currency and interest rate swaps are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. The derivative financial instrument is not held for trading, and is not designated in a qualifying hedge relationship and all changes in its fair value are recognised immediately in profit or loss.

Cash and cash equivalents

Cash and cash equivalents with an original maturity of three months or less, include bank deposits and are recorded at nominal value in the financial statements. Restricted deposits are included in the item, see note 10.

Loan and receivable

Investment classified as loan and receivable is measured at amortised cost using the effective interest rate method. This classification is used for non-derivative assets with fixed or determinable payments that are not quoted in an active market. Profit and loss is recognised in the income statement when the loan or receivable is derecognised, impaired or through the amortisation process.

Loan and borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate method.

Interest bearing liabilities

Interest bearing liabilities, including debt, are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis. The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period.

Other liabilities

Accounts payable and other short term liabilities are recorded in the financial statements at cost. Financial liabilities that are not held for trading purposes, and which have not been designated as being at fair value with changes in value through profit or loss, are classified as other liabilities.

E TANGIBLE ASSETS

Furniture, fixtures and office machines

Recognition and measurement

Tangible assets are recorded in the financial statements at historical cost, less accumulated depreciation and impairment. When parts of the tangible assets have different useful lives, these are recorded in the financial statements as separate items.

An item of tangible assets is derecognised upon disposal or when no economic benefits are expected from its use or disposal. Any profit or loss arising on derecognising of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the income statement in the year the asset is derecognised.

Subsequent costs

Costs for replacement of parts of equipment are recorded as an asset, when the cost is assumed to give the Group an economic benefit related to the replacement, and the expense of the replaced parts can be reliably measured. All other costs are recorded in the financial statements for the actual period.

Decomposition

Substantial cost components included in larger installations are identified individually for an evaluation of the actual components' expected economic useful lives and recoverable amount. The individual expected economic useful life is the basis for depreciation.

Depreciation

Depreciation is calculated on a straight-line basis over the useful lives of the assets, taking into account any material residual value.

The useful lives can be summarised as follows: Furniture, fixture and office machines: 3-5 years.

The assets' residual values, useful lives and methods are reviewed, and adjusted if appropriate, at each financial year-end.

F INTANGIBLE ASSETS

Goodwill

After initial recognition, goodwill is measured at cost, less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash generating units that are expected to benefit from the synergies of the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Research and development

Research costs are expensed as incurred.

Costs of development activities, where the research result is used in a plan or model for the production of new or considerably improved products or processes, are recorded as an asset if the product or process is technically and commercially viable.

Capitalised development costs are recorded as an asset at cost, less accumulated depreciation and write-downs. The development costs are depreciated from the date they are available for use, and depreciated on a straight line basis over the estimated useful life, which is 5 years.

Licences

Oil-related licences and capitalised exploration and evaluation costs are classified as intangible assets until plan for development and operation has been approved. Capitalised amounts will be transferred to tangible fixed assets and will be depreciated in accordance with the units-of-production method when approval is granted.

When oil-related exploration licences are purchased, the cost price will be capitalised as an intangible asset. After initial recognition they will be treated in accordance with the general principles for intangible assets. Under the successful efforts method, costs associated with drilling of exploratory wells and evaluation costs are capitalised. Capitalised amounts are classified as intangible assets and are treated according to general valuation rules. Exploration and evaluation costs related to unsuccessful drilling that is considered not commercially recoverable are charged to expense. Capitalised exploration and evaluation costs are transferred to tangible fixed assets, if it is decided to further develop the project.

Impairment

See section 3G.

Subsequent costs

Subsequent costs concerning intangible assets are recognised in the financial position when they increase the future economic benefits related to the asset. All other costs are recorded in the income statements in the actual period.

G IMPAIRMENT

Non-financial assets

The carrying amount of the Group's assets is reviewed at least annually or whenever changes in circumstances indicate that the carrying value may not be recoverable. If such indications are present, an estimate is made of the recoverable amount of the asset.

The recoverable amount is reviewed annually for goodwill and intangible assets that are still not available for use, including exploration and development costs in connection with oil and gas properties. Impair-

ment is recorded in the financial statements when the carrying amount of the asset or the cash flow generating unit exceeds the recoverable amount. Impairment is recorded in the income statement.

Unproved oil and gas properties are assessed for impairment when facts and circumstances suggest that the carrying amount of the asset may exceed its recoverable amount, and at least once a year. Exploratory discovery wells that have found reserves, but where classification of those reserves as proved depends on whether major capital expenditure can be justified or where the economic viability of that major capital expenditure depends on the successful completion of further exploration work, will remain capitalised during the evaluation phase for the exploratory finds. Thereafter it will be considered a trigger for impairment evaluation of the discovery if no development decision is planned for the near future, and there moreover are no concrete plans for future drilling in the licence.

The remaining impairment is then distributed among the remaining assets according to their carrying amount.

Calculation of recoverable amount

Recoverable amount is the higher of net sales price and net present value. Net present value is calculated by discounting expected future cash flows to present values by using discount rates before tax that reflect the value of money and the risk related to the specific asset. For assets that do not generate independent cash flows, the recoverable amount is compared with the cash flow generating unit the asset belongs to. Further details about methods and calculation assumptions concerning intangible assets are given in note 8.

Reversing impairment

Impairment of goodwill is not reversed. A previous recognised impairment loss is reversed only if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised in prior years.

Financial assets

Financial assets valued at amortised cost are written down when it is probable, based on objective evidence, that the instrument's cash flows have been negatively affected by one or more events occurring after the initial recognition of the instrument. The impairment loss is recognised in the income statement. If the reason for the impairment loss disappears in a later period and this disappearance can be objectively linked to an event that takes place after the impairment loss has been recognised, the previous write-down is reversed. The reversal must not result in the carrying amount

of the financial asset exceeding the amount that the amortised cost would have been if the impairment loss had not been recognised on the date when the write-down was reversed. The reversal of a previous impairment loss is presented as income.

H FARM-IN/FARM-OUT

A farm-in/farm-out involves a situation where the owner of a working interest transfers all or a portion to another party (the farminee) in return for a farminee's performance of some agreed upon action. For example, the farminee may agree to undertake the exploration of a property, drill a well(s), or develop the property. In return, the farmminor agrees to transfer all or a portion of the working interest in the property to the farminee.

In a farm-in, Rocksource capitalise or expense the exploration, drilling and development costs as incurred in accordance with the successful efforts method. Rocksource does not record any receivable nor any of its costs assigned to the acquisition of a mineral interest. In other words, Rocksource may capitalise wells and equipment costs but not capitalised property acquisition costs. There are no accruals for future commitments in farm-in/farm-out agreements in the exploration and evaluation phase, and no profit or loss is recognised. In the development phase, a farm-in/farm-out agreement will be treated as a transaction recorded at fair value as represented by the costs carried.

A farm-in agreement is recognised when the risk and reward is transferred, which normally is at the time necessary governmental approval is obtained.

I ACCOUNTS RECEIVABLE AND OTHER SHORT TERM RECEIVABLES

Accounts receivable and other short term receivables are recognised initially at fair value. In connection with the sale of goods and services fair value will generally coincide with invoiced amount. Receivables are subsequently valued at amortised cost, determined using effective interest rate method less provisions for bad debt. Bad debt provisions are recognised when there are objective indications that the Group will not receive settlement in accordance with the original terms.

J EQUITY

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares and share options are recognised as a reduction of equity net of any tax effects. See section 2C for currency translation differences.

K LEASING EXPENSES

The determination of whether an arrangement is or contains a lease is based on the substance of the arrangement when agreed and depends on whether the fulfillment of the arrangement is subject to the use of a specific asset(s), or the arrangement conveys a right to use the asset.

Leases are classified as financial leases if the terms of the lease agreement transfer substantially all risk and benefits incidental to the ownership of the leased item. Other leases are classified as operational lease.

Financial leased assets are depreciated over the shorter of the estimated useful life and the lease period.

For operational leases, the payments are recognised as an expense and charged to the income statement on a straight line basis over the period of the lease.

L BENEFITS TO EMPLOYEES

Pension arrangements

The Group has only defined contributions plans. Contributions are paid to pension insurance plans and charged to the income statement in the corresponding period. Once the contributions have been paid, there are no further payment obligations.

Share-based remuneration

The Group operates an equity-settled, share-based compensation plan where employees are granted options to buy shares in the Parent Company. Fair value of granted options is recorded at cost with a corresponding increase in equity and is measured at the date they are granted. The cost is recorded over the period in which the performance conditions are fulfilled, ending on the date when they become fully entitled to the award ("vesting date"). The fair value is determined by using the Black-Scholes model. Volatility is calculated based on historical developments in the share price.

If the share options are vested at the grant date, the fair value of granted options is recorded as an expense in the financial statement at the grant date.

M PROVISIONS

A provision is recorded when the Group has a present legal or constructive obligation as a result of past events and it is probable that payments will be demanded from the Group to fulfill the obligation.

N REVENUE RECOGNITION

Revenue including sale to licenses where Rocksource is the operator, is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty.

Licences, or parts of licences, that are disposed of are recognised at the time of the transaction. Any gain or loss is recognized in other operating income.

Interest income is recorded in the financial statements based on the effective interest method, as the interest is earned. Dividends are recorded at the date that the right to receive payment is established, i.e. following an approval from the General Meeting of the company paying the dividend.

O INCOME TAXES

The tax expense consists of tax payable and changes to deferred tax. Tax payable and deferred taxes are recorded directly in equity to the extent that they relate to factors that are recorded directly in equity.

Deferred tax/tax assets are calculated on all taxable temporary differences at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes except goodwill. Tax increasing and tax decreasing temporary differences, as well as tax losses carried forward which are offset or can be offset in the same period, are recorded net, and are the basis for deferred tax assets for the Group. Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Net deferred tax assets are recorded as intangible assets and net deferred tax liabilities are recorded as long term liabilities. Deferred tax assets are recorded to the extent that sufficient taxable profit will be available to allow the deferred tax assets to be utilised.

Oil companies that operate on the Norwegian Continental Shelf are subject to the Norwegian oil taxation regime. Under this regime oil companies that are not in a taxable position can claim a 78 per cent refund of its exploration costs, limited to the taxable loss for the current year. The deferred tax can only be netted off within each tax regime.

P RELATED PARTIES

Parties are related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Key management is also considered to be a related party. All transactions between the related parties are recorded at estimated market value.

Q EARNINGS PER SHARE

The calculation of basic earnings per share is based on the profit attributable to ordinary shareholders using the weighted average numbers of shares outstanding during the year after deducting the average number of treasury shares held over the period. The calculation

of diluted earnings per share is consistent with the calculation of basic earnings per share while giving effect to all dilutive potential ordinary shares that were outstanding during the period. The weighted average number of additional ordinary shares that would have been outstanding assuming the conversion of all diluted potential ordinary shares increases the weighted average number of ordinary shares outstanding. The amount of dilution is the average market price of ordinary shares during the period subtracting the issue price of the options.

R SEGMENT INFORMATION

Operating segments are reported in accordance with the internal reporting provided to the group executive management (chief operating decision-makers), who are responsible for allocating resources to and assessing the performance of the operating segments.

S SUBSEQUENT EVENTS

Subsequent events consist of new information concerning events existing at year-end. Information regarding events existing at year-end will affect the financial statements while information regarding events after year-end does not affect the financial statements. Regardless of the effect on the financial statements, material events arising after year-end are disclosed in the notes.

T CASH FLOW STATEMENT

The Group reports its cash flow statement according to the indirect method. This means that net profit/loss for the year is adjusted for the effect of transactions with no cash flow effect and liabilities/accruals to display net cash flows from operating activities. Items associated with investment and financing activities are shown separately.

NOTE 1 SEGMENT INFORMATION

The information is organised by operating segments, in addition geographic information is provided. The reporting format is based on the Group's management and internal reporting structure as well as risk and reward similarities, and the key management is considered to be the chief decision maker in the Group.

Transfer pricing between segments is based on estimated market value. The segment result, assets and liabilities include items that are directly related to the segments. The segment "Non allocated" is mainly intercompany sales and purchases.

The segments' investment expenses comprise total expenses in the period for the acquisition of assets that have an expected useful life of more than one year.

Operating segments

The Group reports along the main business segments based on the area of operation. The geographical location determine the area of operations.

The Group has the following operating segments:

- Offshore oil and gas: Exploration activities
- Geo-technical activities: Development and employment of advanced technology for the integrated interpretation of geological, seismic and electromagnetic data for the identification of hydrocarbon reserves.

	Offshore Oil & Gas activities		Geo-technical activities		Non-allocated activities		Total	
Figures in NOK 1000	2013	2012	2013	2012	2013	2012	2013	2012
Operating income, external	32 179	39 806	27 104	15 774	-	-	59 283	55 580
Operating income, internal	10 745	19 055	-	-	-10 745	-19 055	-	-
Exploration expenses	-232 492	-235 758	-	-	-	-	-232 492	-235 758
Other general and administrative expenses	-17 139	-11 815	-7 480	-16 175	10 745	19 055	-13 874	-8 935
Depreciation, amortisation and impairment 1)	994	-1 599	-12 881	-93 039	-	-	-11 887	-94 638
Operating profit/(loss)	-205 713	-190 311	6 743	-93 440	-	-	-198 970	-283 750
Net financial income/(expenses)	8 366	-39 128	788	-25 889	-	-	9 154	-65 016
Net profit/(loss) before taxes	-197 347	-229 439	7 530	-119 329	-	-	-189 817	-348 767
Income tax	150 521	147 057	-	-	-	-	150 521	147 058
Net profit/(loss)	-46 826	-82 382	7 530	-119 329	-	-	-39 296	-201 711
Total assets	282 427	453 481	23 038	11 340	-	803	305 464	465 624
Total liabilities	150 022	251 850	1 153	1 590	-	-	151 175	253 145
Cash flow from operating activities	78 362	332 976	2 333	-1 217	-	-	80 695	334 193
Cash flow from investing activities	-18 183	72 082	-	-	-	-	-18 183	72 082
Cash flow from financing activities	-24 308	-563 870	-	-	-	-	-24 308	-563 870

1) See note 8 for information on impairment.

Revenue from sale to licensees/partners as an operator represents NOK 33.3 million out of total operating income of NOK 59.3 million in 2013. In 2013, Rocksource had a software and license sale agreement to one customer amounting to NOK 20 million, which is reflected in Geo-Technical segment. The sale is considered to be a one off sale.

The negative income in segment "Non-allocated activities" represents intercompany sales. See note 20 Related parties for more information.

Geographic information

The Group's oil and gas activity is operated on a global basis. The Group also participates in exploration licences on the Norwegian Continental Shelf (NCS), the UK Continental Shelf and in the Gulf of Mexico. As of 31 December 2012 Rocksource withdrew from the AGC Profond production sharing contract (PSC) located off the coast of West Africa, but the final settlement has been done in 2013. The activities on NCS and in the AGC Profond are operated through Norwegian subsidiaries. The activity in the US and the UK are operated through domicile in those countries. Geographic segments are mainly based on the Group's corporate structure. The participation in projects/licences without formal company legislation agreements is based on the geographic location of the activity. Goodwill upon acquisition is recognised with the company making the acquisition in its geographic location. The segment "Other regions" includes different projects in the UK, West-Africa and India.

The overall financing has been done in the parent entity Rocksource ASA, which again finances the various subsidiaries/business segments. Hence, financing, financial items and working capital are not allocated amongst these. The subsidiary Rocksource Exploration Norway AS has in addition to financing through the parent company, an exploration credit facility with SEB Merchant Banking (SEB).

	Norway		USA		Other regions		Non-allocated		Total	
Figures in NOK 1000	2013	2012	2013	2012	2013	2012	2013	2012	2013	2012
Operating income, external	54 721	54 570	-	-	4 562	1 009	-	-	59 283	55 579
Operating income, internal	8 132	19 055	2 613	-	-	-	-10 745	-19 055	-	-
Operating profit/(loss)	-185 182	-252 581	-13 456	-28 363	-332	-2 807	-	-	-198 970	-283 751
Net financial income/(expenses)	414	-36 243	126	-26 241	8 613	-2 533	-	-	9 153	-65 017
Income tax	150 521	147 057	-	-	-	-	-	-	150 521	147 057
Net profit/(loss)	-34 247	-141 767	-13 330	-54 604	8 281	-5 340	-	-	-39 296	-201 711
Total assets	268 857	428 609	36 283	36 095	324	920	-	-	305 464	465 623
Total liabilities	151 070	252 960	75	141	31	45	-	-	151 174	253 146
Cash flow from investing activities	-18 183	72 082	-	31	-	-	-	-	-18 183	72 082

NOTE 2 OTHER GENERAL AND ADMINISTRATIVE EXPENSES

Figures in NOK 1000

	2013	2012
Payroll and other related expenses, see note 4	-53 078	-58 866
Other expenses, see specification below	-22 771	-28 766
Total	-75 849	-87 632
- Reclassified as exploration expenses 1)	61 975	78 698
Total other general and administrative expenses	-13 874	-8 934

1) This amount represents the part of general and administrative expenses used to explore on the NCS.

SPECIFICATION OF OTHER EXPENSES

Figures in NOK 1000

	2013	2012
Professional services	-10 062	-17 727
Office expenses, office leases, IT development and similar	-10 377	-10 008
Travel	-1 768	-1 558
Other expenses	-565	527
Total other expenses	-22 771	-28 766

AUDITOR FEES FOR THE GROUP

Fees paid to the auditor (excluding VAT):

Figures in NOK 1000

	2013	2012
Audit fee	-951	-1 312
Other financial auditing	-30	-348
Attesting services	-110	-37
Tax advisory services	-22	-75
Other advisory services	-106	-20
Total auditor fees	-1 218	-1 792

NOTE 3 EXPLORATION EXPENSES

Figures in NOK 1000

	2013	2012
Exploration expenses related to licence participation	-9 826	-18 974
Exploration expenses, other external expenses (seismic, EM, etc)	-71 385	-125 566
Exploration expenses, external	-81 211	-144 539
Reclassified from general and administrative expenses	-61 975	-78 698
Exploration expenses, capitalised in previous year	-89 170	-12 521
Exploration expenses, dry wells current year	-136	-
Total exploration expenses, income statement	-232 492	-235 758

In accordance with the successful effort method, previously capitalised exploration expenses are reclassified to exploration expenses in the income statement when the drilling results are negative, the discovery is not considered commercial or licences are relinquished and subsequently impaired.

The Item "Exploration expenses, capitalised in previous year" in 2013 of NOK 89.2 million consists of NOK 86.2 million related to the Norvarg discovery and NOK 2.9 million related to the relinquished lease EB 300 in the Gulf of Mexico.

The total drawdown of the carry-fund, see note 22, in 2013 was NOK 147.3 million, of which NOK 11.4 million is temporary capitalised as exploration assets.

NOTE 4 EMPLOYEE EXPENSES

Figures in NOK 1000

	2013	2012
Salaries, bonuses and holiday pay	-43 717	-50 978
Social security costs	-6 033	-7 749
Pensions	-2 194	-2 211
Share-based remuneration	63	3 393
Other employee costs	-1 197	-1 321
Total	-53 078	-58 866
Average number of man years employed	34.8	37.3

See note 21 for remuneration to the key management.

Bonus

A bonus cost of NOK 3.9 million has been recorded in 2013 (2012: NOK 6.6 million).

Shared-based remuneration

Expensed share-based remuneration for 2013 (excluding employer's social security contributions) is a net income of TNOK 63. Also see note 21 for information regarding the share-based remuneration.

Pensions

Rocksource has a defined contribution scheme for employees in Norway. Rocksource meets the requirements for mandatory pension ("obligatorisk tjenstepensjon") in Norway. There are no pension obligations for the employees in the US subsidiaries.

PRESENTATION OF THE BOARD OF DIRECTORS' DECLARATION OF REMUNERATION POLICY FOR THE EXECUTIVE MANAGEMENT FOR THE COMING YEAR

In accordance with the Norwegian Public Limited Liability Companies Act section 6-16 cf. section 5-6 third paragraph, the General Meeting shall discuss the Board of Directors' declaration of remuneration policy for the executive management. The Board of Directors' declaration is as follows

1) Remuneration policy for the executive management for 2014:

The Board of Directors in Rocksource is responsible for determining the remuneration of the Chief Executive Officer (CEO). The CEO is, together with the Board of Directors, responsible for the remuneration of the management team. In March 2013 the Board of Directors resolved to establish a Remuneration Committee consisting of board members with a particular experience in remuneration for oil and gas companies. This committee will be responsible for developing recommendations related to remuneration of all staff (including the CEO and executive management) for consideration by the Board of Directors.

When defining the criteria used as the basis for determining the remuneration the underlying principle is that compensation should reflect the responsibility and duties resting with the team members, and that the employee is motivated to create long term value for the Rocksource Group (Group) and its shareholders. It is important that the Group offers a competitive overall remuneration package (salary, incentive scheme, pension, insurance, etc.) to attract the skills and competencies required to support the strategic development of the Group.

The CEO and the management team participate in the standard pension and insurance schemes applicable to all employees. The Group uses standard employment contracts together with standard terms and conditions regarding notice period and severance pay for the CEO and the management team. The Board of Directors' has not defined an upper or lower limit for the salary of the management team except for the principles stated above.

The Board of Directors' has included exposure to the Group's share price in the remuneration of management and staff. The Board of Directors believes that this has led to the alignment of both the Group and shareholder objectives.

2) The remuneration policy for the executive management in 2013 was in accordance with the policy that was taken into consideration by the Annual General Meeting in 2013.

3) The consequences for the Company and the shareholders of the previously awarded share options are described in the Annual Report.

An advisory vote is called for on the Board of Directors' remuneration policy for the executive management in 2014, as described in paragraph (1) above. The Board of Directors therefore proposes that the General Meeting passes the following resolution:

The General Meeting gave its support to the Board of Directors' remuneration policy for the executive management in 2014.

NOTE 5 NET FINANCIAL INCOME/(EXPENSES)

Figures in NOK 1000

	2013	2012
Interest income	4 066	10 777
Net currency gain	16 298	-
Other financial income	-	5 110
Total financial income	20 363	15 886
Interest expenses	-10 381	-44 823
Net currency loss	-	-9 241
Other financial expenses	-829	-690
Total financial expenses	-11 210	-54 754
Share of income/(loss) in associates ¹⁾	-	-26 148
Net financial income/(expenses) through profit and loss	9 153	-65 016

1) See note 14 – Investment in associates.

Net currency gain consists of NOK 28.6 million in currency gain and NOK 12.5 million in currency loss

NOTE 6 INCOME TAX

Figures in NOK 1000

	2013	2012
TAX EXPENSES/(INCOME) RECOGNISED IN THE INCOME STATEMENT		
Current taxes, refund exploration expenses NCS	-90 994	-238 588
Current taxes, refund previous years NCS	329	48 316
Deferred tax, offshore, correction of previous years	-11	2 650
Deferred tax, offshore NCS	-59 845	40 566
Deferred tax, onshore	-	-
Total tax expenses/(income) recognised in the income statement	-150 521	-147 057
RECONCILIATION OF TAX EXPENSES/(INCOME)		
Profit/(loss) before taxes	-189 817	-348 767
Hereof taxable income in foreign countries	10 721	-55 934
Company result for Norwegian companies	-200 539	-292 834
Basis for company tax	-200 539	-292 834
Basis for special tax	-204 278	-195 553
Tax according to ordinary rate [28%]	-56 151	-81 993
Tax according to special tax rate [50%]	-102 139	-97 776
Tax effect of permanent differences	-3 119	-17 187
Change in previous years	318	50 966
Change in deferred tax assets, not recognised in the financial statements	10 569	-1 065
Tax expenses/(income) for the period	-150 521	-147 057
TAX EFFECT OF TEMPORARY DIFFERENCES IN NORWAY		
Property, plant and equipment	-12 774	-83 982
Other current liabilities	-986	-1 831
Tax loss carried forward, NCS	17 548	-
Tax loss carried forward, onshore	38 537	77 354
Basis for deferred tax/deferred tax assets	42 324	-8 459
Deferred tax assets not recognised in the financial statements [27%]	11 090	21 659
Deferred tax recognised in the financial statements [27%/78%]	-6 162	-66 019
RECONCILIATION OF DEFERRED ASSETS/LIABILITIES		
Opening balance as of 1 January	-66 019	-147 723
Deferred tax through income statements	59 856	-43 216
Deferred tax, recognised directly in gain from Valiant transaction	-	124 920
Closing balance as of 31 December	-6 163	-66 019

For information on the effective tax rate on the NCS, see note 5 in the financial statement of the Parent Company.

DEFERRED TAX ASSET RECOGNISED IN THE FINANCIAL STATEMENTS

As of year-end 2013 a deferred tax liabilities of NOK 6.1 million (2012: NOK 66.0 million) is recorded. The amount for 2012 consists of deferred tax liabilities mainly related to the Norvarg discovery on the NCS. As a consequence of the a full write-down of the Norvarg discovery in 2013, the deferred

tax liabilities NOK 67.2 million related to the discovery was correspondingly recorded as tax income in 2013.

If the Group closes down the activity on the NCS, any unused tax losses carried forward related to the NCS will be refunded in cash to the Group. There is no time limit on the right to carry forward tax losses in Norway. The Group has not recognised deferred tax assets related to Rocksource Geotech AS or net operating losses in the subsidiaries in the UK or in the US. This is based upon an assessment that the companies will not generate taxable profits to utilise the deferred tax assets within a short term scenario.

TAX REFUND ON THE NORWEGIAN CONTINENTAL SHELF

Companies operating on the Norwegian Continental Shelf (NCS) are subject to a 50 per cent (from 1 January 2014 - 51 per cent) oil taxation in addition to the ordinary 28 per cent (from 1 January 2014 - 27 per cent) corporate tax. Companies that are not in a taxable position can claim a 78 per cent refund on exploration costs on the NCS. This refund is normally payable in December the following year. This tax income totals NOK 91.0 million for 2013 (2012 NOK 238.6 million). In December, the Group received NOK 241.7 million, including interests. This consisted of ordinary exploration tax refund totalling NOK 139.5 million as well as the pay-out of the tax value of uncovered losses totalling NOK 98.8 million related to the restructuring in 2012 where the NCS activities were transferred into a fully owned subsidiary of Rocksource ASA. The total refund was paid out according to the Company's tax return. The ordinary exploration tax refund is pledged as part of the exploration credit facility with SEB.

REPAYMENT OF TAXES FOLLOWING A RULING IN THE OIL TAXATION BOARD

In the first quarter of 2012 a tax provision of NOK 48.3 million related to changes to the assessment of the tax returns for 2007-2009 was established reflecting the ruling in the OTB. The claim was settled in July 2012.

The Company's position regarding the ruling of the OTB remains that it disagrees with the basis for the ruling and the Company has appealed the ruling. Impact on tax assessment for 2010-12 has not been completed, but is currently under review by the Oil Taxation Office. The intercompany charges in the years 2010-12 were significantly lower than the intercompany charges in 2007-09. The Group has not recorded any provision in the financial statements.

TAX LOSSES CARRIED FORWARD IN THE US

The subsidiaries in the US have as of 31 December 2013 an accumulated tax loss carried forward of NOK 345.2 million (2012 NOK 303.2 million), based on the exchange rate at year-end. With a tax rate of 35 per cent, this represents a non-recognised deferred tax asset of NOK 120.8 million (2012 NOK 106.1 million). The 2013 figures are based on estimates as the tax return for 2013 has not yet been submitted. Tax losses in the US can be carried forward up to 20 years, if not utilised the first tax balances will expire in 2027.

TAX LOSSES CARRIED FORWARD IN THE UK

The subsidiary in the UK has at 31 December 2013 an accumulated tax loss carried forward of NOK 61.8 million (2012 NOK 57.8 million), based on the exchange rate at year-end. With a tax rate of 24 per cent, this represents a non-recognised deferred tax asset of NOK 14.8 million (2012 NOK 13.9 million). Tax losses in the UK can, depending on the classification of the loss, be carried forward for a period of minimum 10 years. The first tax balance will expire in 2016.

NOTE 7 TANGIBLE ASSETS

	Furniture, fixtures and office machines
Figures in NOK 1000	
1 January 2013	
Cost	17 416
Accumulated depreciation and amortisation	-14 645
Net book amount	2 771
Period ended 31 December 2013	
Opening net book amount	2 771
Exchange differences	1
Additions	2 029
Depreciation and amortisation charge	-1 887
Closing net book amount	2 914
Cost	12 228
Accumulated depreciation and amortisation	-9 314
Net book amount	2 914
1 January 2012	
Cost	17 862
Accumulated depreciation and amortisation	-14 217
Net book amount	3 646
Period ended 31 December 2012	
Opening net book amount	3 646
Exchange differences	-14
Disposals	-93
Additions	870
Depreciation and amortisation charge	-1 638
Closing net book amount	2 771
Cost	17 416
Accumulated depreciation and amortisation	-14 645
Net book amount	2 771
Depreciation plan	Linear 3-5 years

NOTE 8 INTANGIBLE ASSETS

Figures in NOK 1000

	Goodwill	Exploration / acquisition costs	Total
1 January 2013			
Cost	154 563	116 710	271 273
Accumulated impairment charges	-144 563	-	-144 563
Net book amount	10 000	116 710	126 710
Opening net book amount	10 000	116 710	126 710
Exchange differences	-	2 769	2 769
Additions	-	16 155	16 155
Expensed exploration/acquisition costs	-	-89 170	-89 170
Impairment charge	-10 000	-	-10 000
Closing net book amount	-	46 464	46 464
31 December 2013			
Cost	-	46 464	46 464
Net book amount	-	46 464	46 464
1 January 2012			
Cost	154 563	290 925	445 488
Accumulated impairment charges	-51 563	-	-51 563
Net book amount	103 000	290 925	393 925
Period ended 31 December 2012			
Opening net book amount	103 000	290 925	393 925
Exchange differences	-	-2 961	-2 961
Additions	-	1 421	1 421
Expensed exploration/acquisition costs	-	-12 521	-12 521
Disposals 1)	-	-160 154	-160 154
Impairment charge	-93 000	-	-93 000
Closing net book amount	10 000	116 710	126 710
31 December 2012			
Cost	154 563	116 710	271 273
Accumulated impairment charges	-144 563	-	-144 563
Net book amount	10 000	116 710	126 710

1) See note 22 for information on disposals

CAPITALISED EXPLORATION/ACQUISITION COSTS

- IMPAIRMENT TESTING

There are no material changes in the resource estimates and costs estimates. Further there are no negative changes to market conditions related to the value of the exploration/acquisition costs of the Gulf of Mexico portfolio, which suggest that the carrying amount of the assets exceed the recoverable amount. The booked value of the Gulf of Mexico portfolio is TNOK 30 309. The booked capitalised amount also represents expenses related to drilling preparation in licence PL 586 (Pil) with TNOK 16 155. Pil had a successful well after balance sheet date, see note 23 Subsequent event.

Classification of those resources as proved, which depends on whether major capital expenditure can be justified or where the economic viability of that major capital expenditure depends on the successful completion of further exploration work, will remain capitalised during the evaluation phase for the exploratory finds. Thereafter it will be considered a trigger for impairment evaluation of the discovery if no development decision is planned for the near future, and there are no concrete plans for future drilling in the licence. Depreciation based on the UoP method commence on first oil.

GOODWILL - IMPAIRMENT TESTING FOR CASH FLOW GENERATING UNITS THAT INCLUDE GOODWILL

Figures in NOK 1000

2013

2012

The following units have material carrying amounts of goodwill

EM-technology - through the subsidiary Rocksource Geotech AS

- 10 000

In accordance with IAS 36 in the International Financial Reporting Standards (IFRS), the Group performed an impairment test of goodwill as of 31 December 2013. The impairment test was analyzed based on a value in use methodology and a fair value less costs to sell, which both indicated that the value was nil.

Key assumption

Taking the experience gained from previous drilling campaigns into consideration, Rocksource exploration model puts less focus on interpretation of electromagnetic data as the key decision driver, and is now more focused on an integrated use of all available data sources when making its exploration decisions. This has influenced the value in use analysis of the goodwill, as the previous risk reduction that was derived from utilizing the technology is no longer as clear. Rocksource will take advantage of EM where it can be used to derisk a prospect, but it is no longer a required milestone that needs to be passed. Further the income potential in Rocksource Geotech AS is limited in the short

term following the change in the pricing model where EM services are supplied on an hourly basis. The reduction of EM experts in Rocksource Geotech AS and the continued turnover, as well as prices realized for the services, does not support the value of the goodwill. Even though Rocksource Geotech AS licensed its proprietary software and source code in December 2013 this is considered a one off event and that similar sales cannot be considered likely enough to support the value of the goodwill.

As a conclusion the remaining goodwill has been written down with NOK 10.0 million as of year-end 2013. Consequently there is no goodwill as of year-end 2013.

In 2012 an impairment test indicated that the value in use was lower than the goodwill included in the statement of Financial Position. Based on the impairment calculation, the goodwill was valued at NOK 10.0 million. As a result the goodwill related to EM technology (through the subsidiary Rocksource Geotech AS) was written down by NOK 93.0 million in the accounts for third quarter 2012.

NOTE 9 ACCOUNTS RECEIVABLE AND OTHER RECEIVABLES

Figures in NOK 1000

	2013	2012
Accounts receivable	26 687	713
Other receivables	11 218	8 041
Total	37 905	8 754

Accounts receivable in the financial statements are assumed to be collectible, and no provision for bad debt is considered necessary. The Group has no historic losses on customers.

Accounts receivable are not interest-bearing and made on standard business terms.

Other receivables mainly consist of invoices to licence partnerships where Rocksource Exploration Norway AS is an operator for expenses paid on behalf of the licencees. It also consists of prepayments and VAT receivables.

The Group's accounts receivable are comprised exclusively of items that are due for payment within one year. Accounts receivable as of year-end are denominated in NOK. The ageing analysis of accounts receivable is as follows:

Figures in NOK 1000

	2013	2012
Not past due	20 145	250
Past due < 30 days	241	458
Past due < 60 days	5 753	–
Past due < 90 days	547	5
Total	26 687	713

NOTE 10 CASH AND CASH EQUIVALENTS

Figures in NOK 1000

	2013	2012
Bank deposit, non-restricted	122 285	80 139
Bank deposit, restricted	4 903	8 661
Total	127 188	88 800

Included in the Item "Bank deposit, restricted" at 31 December 2013 is a cash deposit to guarantee a letter of credit related to operatorship status in the Gulf of Mexico, employees' tax deduction and deposits related to the office premises. The restricted amount at 31 December 2013 is NOK 4.9 million (NOK 8.7 million 31 December 2012).

Bank deposits are subject to a floating interest, and the depository interest rate will therefore fluctuate during the year. The cash equivalents are equal to their nominal value.

Cash and cash equivalents are mainly denominated in NOK, 98 per cent (2012:97 per cent). The remaining is in GBP and USD.

	2013		2012	
Figures in 1000	Foreign currency	NOK	Foreign currency	NOK
USD	399	2 429	450	2 505
GBP	18	160	49	441
NOK	–	124 599	–	85 854
Total		127 188		88 800

NOTE 11 ISSUED CAPITAL

As of 31 December 2013 Rocksource ASA had 87,055,500 shares with a nominal value of NOK 0.10. There has been no changes to the issued share capital since 31 December 2012. There is one class of shares and all shares are fully paid in. Each share represents one vote at the Company's General Meeting.

DIVIDENDS

At year-end 2013, no dividend was proposed for any of the group companies for 2013.

MERGING OF SHARES AND DECREASE OF THE SHARE CAPITAL

The Company's shares were merged (reverse split) in the ratio 4 to 1 in June 2012. The nominal value of a share in Rocksource ASA increased from NOK 1.00 to NOK 4.00, and the number of shares was reduced from 348,222,000 to 87,055,500.

At the Company's Annual General Meeting on 14 June 2012 it was resolved to reduce the share capital of the Company by NOK 339,516,450, from 348,222,000 to NOK 8,705,550. This was done through a reduction in the nominal value of the shares of the Company from NOK 4.00 to NOK 0.10. The share capital of the Company is NOK 8,705,550 divided into 87,055,500 shares of a nominal value of NOK 0.10.

AUTHORISATION OF THE BOARD OF DIRECTORS

In the General Meeting, held on 28 May 2013, the Board of Directors was authorised to resolve one or several share capital increases by issuing up to 2 per cent of total number of shares in the Company per year. This authorisation can only be used to issue shares to employees of the Company in connection with the incentive scheme and is valid for two years as from the date of this General Meeting. For further information about incentive schemes see note 21 - Remunerations, and note 2 - Remuneration, salaries, options and pensions in the financial statements for the Parent Company.

TREASURY SHARES

The Parent Company has 6,250 (as adjusted) treasury shares with a nominal value of NOK 625. The purchase cost for the treasury shares was NOK 117 000. There has been no sale of treasury shares in 2013.

NOTE 12 EARNINGS PER SHARE

BASIC EARNINGS PER SHARE

Basic earnings per share at 31 December 2013 are based on the net result for the year attributable to ordinary equity holders of the Parent Company amounting to a loss of NOK 39.3 million (2012: loss of NOK 201.7 million) and the dilution

adjusted weighted average number of outstanding ordinary shares through 2013 of 87,049,568 (2012: 87,049,568). Earnings per share in 2012 reflects the reverse split, see note 11.

Weighted no. of shares in 1000	2013	2012
Issued as of 1 January	87 055	87 055
Effect of shares issued, related to reversed split	-	-
Effect of treasury shares	-6	-6
Weighted average number of ordinary shares	87 050	87 050
Effect of dilution:		
Options	-	-
Weighted average number of ordinary shares adjusted for the effect of dilution	87 050	87 050
Net profit/(loss) attributable to ordinary equity holders of the Parent	-39 296	-201 711
Basic and diluted earnings per share	-0.451	-2.317

Diluted earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding to assume conversion of all dilutive potential ordinary shares. Rocksource has only one category of dilutive potential ordi-

nary shares: share options. Diluted earnings per share were a loss of NOK 0.451 in 2013 (loss of NOK 2.317 in 2012). Diluted earnings per share were the same as basic earnings per share in 2013, as the effect was antidilutive.

NOTE 13 GROUP COMPANIES

Figures in NOK 1000	Classification	Head office	Owner-ship	Voting rights	Profit/loss	Equity
Rocksource Geotech AS	Subsidiary	Bergen, Norway	100 %	100 %	14 596	36 319
Rocksource AGC (Profond) AS (under liquidation)	Subsidiary	Bergen, Norway	100 %	100 %	5 580	15 615
Rocksource Gulf of Mexico AS	Subsidiary	Bergen, Norway	100 %	100 %	92	763
Rocksource UK Ltd	Subsidiary	London, UK	100 %	100 %	2 700	-60 484
Rocksource Energy Corporation	Subsidiary	Houston, USA	100 %	100 %	204	690
Rocksource Gulf of Mexico Corporation	Subsidiary 1)	Houston, USA	100 %	100 %	-13 626	-153 529
Geotech US Corporation	Subsidiary 2)	Delaware, USA	100 %	100 %	-	33 375
Rocksource Exploration Norway AS	Subsidiary	Bergen, Norway	100 %	100 %	-52 181	-34 181
Rocksource ANS (under liquidation)	Subsidiary	Bergen, Norway	100 %	100 %	-	-21

1) Rocksource Gulf of Mexico Corporation is indirectly owned through Rocksource Gulf of Mexico AS.

2) Geotech US Corporation is indirectly owned through Rocksource Geotech AS.

NOTE 14 INVESTMENT IN ASSOCIATES

The Group's ownership in Technolmaging LLC (TI) was 46.4 per cent as of year-end 2013, unchanged since 2011. The carrying amount of the investment in TI is NOK 0 million. The management decided to write off the full value of the

investment in 2012 due to disappointing financial development and operational challenges. Share of loss in TI included loss, amortisation and a full impairment of the investment of NOK 19.4 million in 2012.

NOTE 15 CURRENT LIABILITIES

Figures in NOK 1000	2013	2012
Accounts payable and other payables	45 811	64 060
Other current liabilities	1 187	2 827
Total	46 998	66 887

Accounts payable are mainly non-interest bearing and are normally settled in 30- to 60-days.

Accounts payable in 2013 of NOK 20.4 million relates to purchase of multi-client seismic and EM data in 2012 and matured in March 2014.

NOTE 16 COMMITMENTS

OPERATING LEASE COMMITMENTS

Rocksource used their remaining rig days in 2013, drilling the Storbarden prospect, and has no further commitments in connection with the rig share agreement Rocksource entering into in 2008 by participating in a consortium of operators.

The operating lease commitments are presented before carry of cost and other financing instruments.

The Group has several operating leases for office premises with lease periods of 1 - 4 years with options for renewal. The lease is index-regulated annually. In 2013, NOK 5.3 million was recorded as operating lease expenses in the income statement. The operating lease contracts consist mainly of fixed payments.

Future minimum rentals payable under non-cancellable operating leases as of 31 December are as follows:

Figures in NOK 1000	2013	2012
Within one year	4 952	5 079
After one year, but less than five years	18 505	3 676
More than five years	-	-
Total	23 457	8 755

The Group has the following lease commitments as of year-end, mostly through ownership interests in its own and partner-operated oil and gas licences:

Figures in NOK 1000	2013	2012
Expected license commitments		
Within one year	291 620	173 087
After one year, but less than five years	-	-
More than five years	-	-
Total expected licence commitments (pre tax)	291 620	173 087

There is a high degree of uncertainty related to the commitments, and these are indicative numbers. There are no firm licence commitments after 2014.

NOTE 17 CONTINGENT COMMITMENTS, AGREEMENTS AND CONTINGENCIES

BLOCK CY-DWN-2001/1 OFFSHORE INDIA

The Company has received a legal notice from Oil and Natural Gas Corporation of India ("ONGC") invoking arbitration related to disputes over historical costs in the CY-DWN-2001/1 Production Sharing Contract ("PSC") offshore India. Rocksource is currently evaluating its response. The Company's firm view remains that it is not liable for any costs on the block and has not recorded any provision in the financial statements.

In 2008, Rocksource executed a memorandum of understanding ("MoU") with ONGC, and later that year signed an agreement to farm into the CY-DWN-2001/1 PSC. The farm in carried with it a contingent licence commitment for the first phase of the PSC consisting of a three well work programme. The process for assignment of Rocksource's Participating Interest did not complete within the time allowed for in the agreement, and Rocksource has not signed the PSC or Joint Operating Agreement, and therefore never formally became a partner to the block. ONGC relinquished the PSC in 2011. Furthermore, Rocksource's position remains that ONGC breached the intent of the MoU and breached terms of its agreement with Rocksource on multiple occasions. These are some of the key reasons that contribute to Rocksource's view that it is not liable for any costs on the block.

The cost claimed by ONGC for Rocksource's share of the completed work programme is approximately USD 20 million. According to invoices sent by ONGC, approximately USD 15 million of this amount became due in February 2010. Rocksource has received advice from two reputable, India-based legal firms, that the prescription period for such claims under Indian contract law is three years. It therefore remains the Company's position that, in addition to its legal arguments relating to failure to complete assignment in time and breach of terms, USD 15 million of the 20 million claimed by ONGC is now prescribed.

Rocksource has earlier communicated that in the event that ONGC decides to send the dispute to arbitration, it is the Company's understanding that it is likely to take at least three years before arbitration would be completed and any eventual ruling could be enforceable against Rocksource in Norway. This remains the Company's view.

NORWEGIAN CONTINENTAL SHELF (NCS) ASSET TRANSACTION WITH VALIANT PETROLEUM (NOW ITHACA ENERGY)

In 2012 Rocksource announced a strategic asset transaction with Valiant and the financial effects are recorded 2012.

The asset transaction with Valiant includes the sale of 13 per cent interest in the Norvarg discovery and an average reduction of approximately 50 per cent in the Company's equity stakes in a further 12 exploration licences. As consideration Valiant has paid NOK 60 million in cash and will provide NOK 200 million to pay for Rocksource's share of future exploration expenses in the licences that Valiant has farmed into (carry-fund). Licence approved exploration expenses under this carry-fund includes all exploration and appraisal wells, seismic or EM surveys, and study costs that the partnerships each joint venture agrees to carry out. There has been a drawdown of NOK 147.3 million in 2013 (2012: NOK 36.6 million) from the carry-fund, and the remaining available balance at year-end 2013 was NOK 27.1 million. See further information about the farm-down agreement with Valiant in note 22.

CONTINGENT LICENCE COMMITMENTS

As a partner in offshore licences on the Norwegian and UK continental shelves, Rocksource has contingent commitments related to its equity share in each licence, if the majority in the partnership decides to progress beyond the firm licence budget included in note 16 - Commitments.

LIABILITY FOR DAMAGES/INSURANCE

The Group's operations involve risks for damages, including pollution. Installations and operations are covered by an operations insurance policy.

LICENCES ABROAD

In some of the licenses the Group is a part of, there are agreements with royalties liabilities from first production. Terms and conditions in these agreements are in line with common practice in the oil and gas business.

NOTE 18 INTEREST-BEARING LOANS

EXPLORATION CREDIT FACILITY NOK 150 MILLION

Rocksource signed a NOK 150 million exploration credit facility with SEB for 2013. Conditions agreed upon are an interest rate of 3 month NIBOR + 190 basis points and an availability fee of the undrawn amount. The total draw down on the facility going into 2013 was NOK 121.5 million, which was ultimately repaid in December 2013 when the tax refund including interest from the Oil Taxation Office of NOK 238.3 million was received. Total draw down in 2013 was NOK 99.0 million, and no further draw downs can be made on the NOK 150 million facility. Estimated fair value of the credit loan as of year-end 2013 was NOK 98.0 million and is booked as current liabilities in the financial statements. Due to the fact that the tax return is pledged, which provide minimal credit risk for SEB, and that the underlying interest in the market has not changed significantly, we assume that fair value is approximately equal to book value. The difference between

fair value and total draw down is due to the amortisation effect. If a shareholder gains control of more than one third of the shares in Rocksource, all outstanding amounts are due within 90 days. Rocksource is also restricted in issuing guarantees and indemnities.

Rocksource has for 2014 signed a new credit facility with SEB Merchant Banking of NOK 300 million. This is available to bridge finance 95 per cent of the NCS tax refund based on exploration expenses incurred in 2014. See note 19 for more information.

SENIOR SECURED BOND LOAN OF NOK 200 MILLION - REPAID 30 MAY 2012

The Company repaid the outstanding part of the bond loan on 30 May 2012, and following this repayment the Rocksource Group no longer has any external debt except for the exploration credit facility described above.

NOTE 19 FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

The Group's activities expose the Group to the following financial risks as defined by IFRS 7:

- **Liquidity risk**
- **Credit risk**
- **Market risk**
 - including currency risk, interest rate risk and price risk

In order to reduce and control these risks, management periodically examines and evaluates the Group's most important financial market risks. The Group is primarily exposed to risk in connection with liquidity. Also, the Group is also exposed to risk in connection with fluctuations in exchange rates and interest rates. Following the disposal of the Group's producing assets, Rocksource is to a lesser extent affected by short term fluctuations in oil and gas prices. The Group is currently assessed to have moderate exposure to financial market risks.

LIQUIDITY RISK

Prudent liquidity risk management implies maintaining sufficient cash, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying business, the Group aims to maintain flexibility in funding by keeping both committed and uncommitted credit lines available. At year-end 2013 the unused part of the Ithaca (former Valiant) carry-fund amounts to NOK 33.1 million, which will be a source of financing exploration cost on the NCS in 2014. In addition a NOK 300 million exploration credit facility from SEB will provide bridge financing of the remaining part of the NCS exploration cost until tax refund is received in December 2014. The refund of NOK 98.8 million in deferred taxes following the restructuring of the NCS activities in 2012 was received in December 2013. The refund was a major liquidity event in 2013 and will be an important source of financing of operations in 2014. As a consequence of the discovery in the Pil well in March 2014, additional financing will have to be addressed to finance the committed activities in 2014. See information under Capital Management.

Figures in NOK 1000

	Carrying amount	Contractual cash flows	1-6 months	6-12 months	1-2 years	3-5 years	> 5 years
31 December 2013							
NCS credit facility	98 014	-102 767	-1 883	-100 883	-	-	-
Other current liabilities	1 187	-1 187	-1 187	-	-	-	-
Accounts payable and other payables	45 811	-45 811	-45 811	-	-	-	-
Total	145 012	-149 765	-48 881	-100 883	-	-	-
31 December 2012							
NCS credit facility	120 240	-125 933	-2 216	-123 716	-	-	-
Other current liabilities	2 827	-2 827	-2 827	-	-	-	-
Accounts payable and other payables	64 060	-64 832	-21 526	-43 306	-	-	-
Total	187 127	-193 592	-26 570	-167 022	-	-	-

CREDIT RISK

The Group credit risk arises from credit exposures with customer accounts receivable and deposits with financial institutions. The Group has policies in place to ensure that sales are only made to customers with an appropriate credit history and by limiting the outstanding credit given to licence partners and customers to fourteen days. The credit risk going into 2014 is considered to be low to moderate, after a concentration of credit risk following the transaction and carry fund with Ithaca Energy, which is will be fully utilised by Q1 2014. Any provision for bad debt is not considered necessary for 2013, unchanged from 2012, and there have been no realised losses in accounts receivable in the last two years. See note 9 - Accounts receivable and other receivables for an ageing analysis. The deposits are with major banks and the credit risk linked to these institutions is limited. The Group's overall credit risk is considered to be minor. The maximum risk exposure is represented by the carrying amount of the financial assets in the statement of financial position, and amounts to NOK 256.1 million.

MARKET RISK

The Group operates globally and is exposed to market risks including foreign currency rates, interest and equity prices that can affect the Group's revenue and costs of operating, investing and financing. The Group has no derivate contracts as of year-end 2013.

CURRENCY RISK

The Group is exposed to some currency risk through its US and UK subsidiaries, but this exposure is considered to be low since the companies have a moderate activity level and limited commitments. Several of the Group's agreements are entered into in foreign currencies, primarily USD and GBP. The Group has some investments in overseas subsidiaries where net assets are exposed to exchange risk. The Group has made no agreements to reduce the exposure to currency risk. This means that the Group's currency management is primarily focused on the USD/NOK fluctuations and to ensure that the amount of USD is sufficient when major expenses denominated in USD are due and to be able to finance the overseas subsidiaries. The effect of any realised or unrealised currency changes are booked through the income statement. The Group's cash and cash equivalents are mainly in NOK (98 per cent), and the remaining is in USD and GBP.

The following table demonstrates the sensitivity of the financial instruments, to a reasonable, possible change in the USD and GBP exchange rate, with all other variables held constant, of the Group's result before tax.

Based on recent fluctuations of the NOK against USD, the analysis is performed with an assumption of a 10 per cent increase/(decrease) in the currency for 2013.

2013	Increase/decrease in USD rate	Effect on earnings (TNOK)
USD	+ 10 %	175
USD	- 10 %	-175

INTEREST RATE RISK

The Group is exposed to interest rate risk related to the NCS exploration credit facility, with floating interest rate. The credit facility of NOK 300 million carries a 3 months NIBOR + 220 basis points interest pro annum. See note 18 for more information. Because of the available credit facility to the Group, interest rate changes will influence the Group's future results. The Group continuously assesses the change in risk and the earnings profile of the current assets.

The following table demonstrates the sensitivity to a reasonable possible change in interest rates, all other variables held constant, of the Group's result before tax.

The analysis is performed with an assumption of an increase/(decrease) of 100 basis points for 2013.

Figures in NOK 1000	Increase in basis points	Effect on earnings	Decrease in basis points	Effect on earnings
Cash and cash equivalents	+ 100	916	- 100	-916
NCS credit facility	+ 100	706	- 100	-706

POLITICAL RISK

Changes in the legislative and fiscal framework governing the activities of the companies engaged within the oil and gas sector may have a material impact on exploration and development activity or directly affect the Company's operations. In particular, changes in political regimes will constitute a material risk factor for the Company's operations. Currently, the exposure is limited to Norway, UK, US, and India. The Group's main strategy is to focus on the NCS portfolio and less on international business development opportunities. In order to conduct its operations in compliance with applicable laws and regulations, the Group will obtain licences and permits from various government authorities. The Group may incur substantial costs in order to maintain compliance with these existing laws and regulations and additional costs if these laws are revised or if new laws affecting the Group's operations are passed. Furthermore, there can be no assurance that the Group will be able to obtain all necessary licences and permits that may be required to carry out exploration, development and production operations on its properties.

CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to continuously evaluate measures to strengthen its financial basis and to ensure that the Group are fully funded for its committed 2014 activities. The Group manages its capital structure and makes adjustments to it in light of changes in economic conditions. In order to maintain or change the capital structure, the Group may adjust the amount of dividend payments to shareholders, return capital to shareholders or issue new shares. Due to existing covenants in loan agreements, Rocksource ASA cannot pay dividend or purchase own shares.

Given the discovery on the Pil prospect in PL 586 the exploration costs for this licence has increased significantly. The increase is due to extensive data acquisition on the discovery and production test. Consequently the Company needs to further improve its financial base to cover these costs and to have a fully funded business plan for the remainder of 2014. Such improvements might come from portfolio optimization, including further farm-down on licences and assets sales, and/or a potential strengthening of the balance sheet through conventional financial sources as equity and debt. See note 16 and 17 regarding licenses commitments.

The Group is continuously evaluating the capital structure with the aim of having an optimal mix of equity and debt capital to reduce the Group's cost of capital. The credit loan facility related to exploration on the Norwegian Continental Shelf (NCS) represent the Group's loan financing.

The book equity ratio is calculated as total equity divided by total assets as follows:

Figures in NOK 1000

	2013	2012
Total equity	154 291	212 478
Total assets	305 465	465 623
Equity ratio	50.5 %	45.6 %
Interest-bearing debt and loans	98 014	120 240
Accounts and other payables	45 811	64 060
Other current liabilities	1 187	2 827
Less cash	-127 188	-88 800
Net debt	17 824	98 327
Majority's equity	154 291	212 478
Sum equity and net debt	172 115	310 805
Debt ratio	10.4 %	31.6 %

FINANCIAL ASSETS AND LIABILITIES

Set out below is a comparison by category for carrying amounts and fair value of all of the Group's financial instruments that are carried in the financial statement. The table below also provide their level in the fair value hierarchy. Date of valuation is 31 December 2013. The carrying amount of

cash and cash equivalents is approximately equal to fair value since these instruments have a short term to maturity. Similarly, the carrying amount of accounts receivables and accounts payables is approximately equal to fair value since they are entered into on "normal" terms and conditions.

Fair value level	2013		2012	
	Carrying amount	Fair value	Carrying amount	Fair value
Figures in NOK 1000				
Financial assets:				
Cash and cash equivalents	127 188	127 188	88 800	88 800
Other receivables at amortised cost	128 898	128 898	247 342	247 342
Total	256 086	256 086	336 142	336 142
Financial liabilities:				
Financial liabilities at amortised cost	46 998	46 998	66 887	66 887
NCS credit facility Level 2	98 014	98 014	120 240	120 240
Total	145 012	145 012	187 127	187 127

There has been no transfer between Level 1 and Level 2 during the period.

Estimated fair value of the credit facility as of year-end 2013 was NOK 98.0 million. Due to the fact that the tax return is pledged, which provide minimal credit risk for SEB, and a new agreement for a 2014 credit facility has been signed, we assume that fair value is approximately equal to book value. The difference between fair value and the total amount drawn down of NOK 99.0 million is due to the amortisation effect.

DIVIDENDS PAID OR PROPOSED

No dividend has been proposed for 2013 or paid out during the year. See "Capital management" for information on dividend restrictions.

NOTE 20 RELATED PARTIES

IDENTIFICATION OF RELATED PARTIES

The related parties of the Group are comprised of subsidiaries, see note 13 - Group companies. Other related parties are defined by the Group's ability, directly or indirectly, to control the other party or exercise significant influence over the other party in the decision making process. Furthermore, parties under common control or common significant influence are defined as related parties. All transactions between the related parties are based on the principle of "arm's length" (estimated market value).

OTHER RELATED PARTIES

See note 14 for information regarding investment in associates.

SHARES IN ROCKSOURCE ASA OWNED BY BOARD MEMBERS AS OF 31 DECEMBER 2013

Figures in 1000	Position	Number of shares	Number of options
Ole Wiborg	Chairman of the Board	-	-
Marianne E. Johnsen	Board member	75	-
Susan Graham	Board member	-	-
Nick Johnson	Board member	-	-
Helge Ringdal	Board member	1 278	-
Rob Arnott	Board member	-	-

INTERCOMPANY INVOICING

In 2013 all G&G and administrative employees were employed in Rocksource Exploration Norway AS, Rocksource Geotech AS and Rocksource Energy Corporation. Rocksource Geotech AS is the technology division. As all the expertise in the Group delivering intercompany services are employed in Rocksource Exploration Norway AS, Rocksource Geotech AS and Rocksource Energy Corporation, there is considerable intercompany invoicing in the Group based on

time spent as well as the use of the technology developed in Rocksource Geotech AS. The intercompany charges are based on intercompany agreements and all hourly rates and technology charges are based on the "arm's length" principle and reflect market values of services delivered. Rocksource ASA finances a considerable part of Rocksource Exploration Norway AS and the Gulf of Mexico operations through intercompany loans. All internal transactions are eliminated at Group level.

Figures in NOK 1000	to Rocksource UK Ltd	to Rocksource Exploration Norway AS	to Rocksource Geotech AS	to Rocksource ASA	to Rocksource Gulf of Mexico Corporation	to Rocksource AGC Profond AS
From Rocksource Geotech AS	-	4 630	-	-	-	-
From Rocksource Exploration Norway AS	29	-	455	2 809	1 789	-
From Rocksource Energy Corporation	-	-	-	-	2 617	-
Total intercompany	29	4 630	455	2 809	4 406	-

All transactions between the related parties are based on the "arm's length" principle (estimated market value). There are no loan agreements between the Group and the Board of Directors/Management. There are no share-based remuneration, bonus or severance payments to the Board of Directors. Remuneration to key employees is described in note 21.

NOTE 21 REMUNERATIONS

Figures in NOK 1000		Position	Salary	Bonus 7)	Employee benefits	Pension	Value options exercised	Options awarded in 2013	Expensed option costs
Key management compensation in 2013									
Chris Spencer 1)		CEO	2 407	575	286	116	–	–	–
Tommy Sundt 2)		CFO	1 896	443	236	94	–	–	–
Per Anders Muri 3)	VP Corporate Communication		1 658	397	32	87	–	–	–
Morten Haukebø	VP HSSE&Q		1 590	300	29	86	–	–	–
Rolf Monsen 4)	CTO		1 596	314	30	86	–	–	–
Annelin N. Haaland 5)	Exploration Manager NCS						–	–	–

The amounts represent total compensation for full year 2013.

1) Mr. Spencer controls 75,000 shares as of 31 December 2013.

2) Mr. Sundt is entitled to a company car. Through Tomsun Invest AS Mr. Sundt controls 271,297 shares as of 31 December 2013.

3) Mr. Muri controls 8,750 shares as of 31 December 2013.

4) Mr. Monsen controls 75,000 shares as of 31 December 2013.

5) Mrs. Haaland controls 9,750 shares as of 31 December 2013.

7) Bonus related to 2012, received in 2013.

Figures in NOK 1000		Position	Salary	Bonus 7)	Employee benefits	Pension	Value options exercised	Options awarded in 2012	Expensed option costs
Key management compensation in 2012									
Chris Spencer 1)		CEO	2 162	–	72	60	–	–	501
Tommy Sundt 2)		CFO	1 856	–	188	58	–	–	479
Per Anders Muri 3)	VP Corporate Communication		1 620	–	13	58	–	–	376
Morten Haukebø	VP HSSE&Q		1 508	–	14	58	–	–	29
Rolf Monsen 4)	CTO (from 1 May 2012)		1 624	–	13	58	–	–	15
Annelin N. Haaland 5)	Exploration Manager NCS (from 1 Oct 2012)		1 277	–	15	60	–	–	14
Gregor Maxwell 6)	COO (until 30 September 2012)		1 892	–	21	58	–	–	-2 081

The amounts represent total compensation for full year 2012.

1) Mr. Spencer took on the position as permanent CEO from 1 June 2012. He controls 75,000 shares as of 31 December 2012.

2) Mr. Sundt is entitled to a company car. Through Tomsun Invest AS Mr. Sundt controls 271,297 shares as of 31 December 2012.

3) Mr. Muri controls 8,750 shares as of 31 December 2012.

4) Mr. Monsen controls 75,000 shares as of 31 December 2012.

5) Mrs. Haaland controls 9,750 shares as of 31 December 2012.

6) Mr Maxwell resigned 30 September 2012 and remained with the Company until 31 December 2012.

7) Bonus related to 2011, received in 2012.

TERMINATION PAYMENTS

The key management team is entitled to a pay equal to between 6 and 12 month's base salary as severance pay from the termination of employment if the Company is subject to or enters into a merger or an acquisition, and the employee is made redundant or if such merger or acquisition significantly changes the job content and the employee decides to resign.

PENSION BENEFITS

Key management is covered by the same defined contribution plan as the rest of the employees in Norway, see note 4. Pension cost to key management is included in the tables above under Pension.

SHARE-BASED REMUNERATION TO KEY MANAGEMENT

Figures in 1000	Program	Date awarded	Total options	Strike price (NOK)	Share price on date awarded	Vesting period	Options vested	Expiration date	Options exercised
Key management compensation in 2012									
Chris Spencer	Stay-on	4.1.11	275	20.00	12.20	31.12.12	275	31.12.13	-
Tommy Sundt	Stay-on	4.1.11	325	20.00	12.20	31.12.12	325	31.12.13	-
Per Anders Muri	Stay-on	4.1.11	213	20.00	12.20	31.12.12	213	31.12.13	-
Morten Haukebo	Stay-on	4.1.11	19	13.60	13.96	31.12.12	19	1.5.13	-
Rolf Monsen	-	-	-	-	-	-	-	-	-
Annelin N. Haaland	-	-	-	-	-	-	-	-	-
Total			831				831		-

In January 2011 Rocksource ASA announced the award of 1,405,417 options to the management team to purchase ordinary shares of the Company at a strike price of NOK 20 per share. Existing and vested options already issued was changed to be in line with the terms of the new scheme. The options were earned by retained employment with the Company at 31 December 2012. The total of 1,845,000 options to the Rocksource key management were distributed as specified in the table above. Following termination of employment 820,000 options were lost in 2012, which means that as of 31 December 2012 1,025,000 options were vested and outstanding under the management program. Following expiry of all the remaining 831,250 options awarded under the management program at 31 December 2013, there are no outstanding options held by the management team as of 31 December 2013.

SIGN-ON OPTIONS

43,750 sign-on options have been granted and are outstanding with employees employed or previously employed in Rocksource ASA and Rocksource Geotech AS as of 31 December 2013. The strike prices for the options are NOK 12.00 per share. No sign-on options have been awarded in 2013 and no commitments have been made for future awards as of year-end 2013.

SUMMARY OF ALL OPTION PROGRAMS

	Average strike price in NOK per share	Number of options in 1000	Weighted average maturity period in years
1 January 2013	19.35	1 133	0.97
Awarded	–	–	
Lost	–	–	
Exercised	–	–	
Expired	-19.67	-1 090	
31 December 2013	12.00	44	0.15
1 January 2012	26.18	2 972	1.80
Awarded	–	–	
Lost	-26.13	-1 199	
Exercised	–	–	
Expired	-38.37	-641	
31 December 2012	19.35	1 133	0.97

The fair value of the services received for the granted options is measured with reference to the fair value of the granted share options. The estimated fair value of the services received is measured on the basis of the Black-Scholes model. Significant input in the model includes the share price at the grant date, the exercise price, the forecasted volatility of 50 to 70 per cent, which is based on the volatility of the share on the Oslo Stock Exchange and a risk free interest rate

equal to the rate of interest on government bonds with the same maturity as the options upon award. Expensed, share-based compensation (excluding employer's social security contributions) for the Group is an income of TNOK 63 in 2013 (income of NOK 3.4 million in 2012). The income relates to reversal of option expenses not fully vested for employees that has left the company.

REMUNERATION PAID TO THE BOARD OF DIRECTORS IN ROCKSOURCE ASA

Figures in 1000		Role	2013	2012
Ole Wiborg	Chairman (from 28.5.13)		408	–
Henrik A. Christensen	Chairman (until 28.5.13)		113	338
Mimi K. Berdal	Chairman (until 28.5.12)		–	450
Marianne E. Johnsen	Board member		280	491
Ole Wiborg	Board member (until 28.5.13)		–	490
Helge Ringdal	Deputy member (from 28.5.13)		280	210
Eva von Hirsch	Board member (from 27.4.12)		70	210
Nick Johnson	Board member (from 14.6.12), Deputy member (from 27.4 to 14.6.12)		280	210
Susan Graham	Board member (from 14.6.12)		280	210
Robert Arnott	Board member (from 28.5.13)		210	–
Bjarte Fagerås	Board member (until 27.4.12)		–	280
Ole Nygaard	Board member (until 27.4.12)		–	280
Total			1 921	3 168

The Annual General Meeting (AGM) has previously decided that remuneration to the Board of Directors should be determined for the coming year, rather than in arrears as done in previous years. Further the AGM has decided that the remuneration would be paid in quarterly installments. The table above reflects the actual payments in 2013 and 2012 and will therefore not be identical to the remuneration agreed in the AGM. It was agreed that the annual remuneration 2013/2014 for the Chairman was NOK 450 000 (2012: NOK 450 000) and for the board members NOK 280 000 (2012: NOK 280 000).

The Board has resolved that the Chairman gets an additional remuneration of TNOK 60 per month from August 2013 due to operational involvement in various strategic and financial processes relating to Rocksource Exploration Norway AS. In addition, the Board has resolved that the Deputy member Helge Ringdal gets an additional TUSD 10 per month from January 2013 as consulting fee related to strategic processes in Rocksource Gulf of Mexico Corporation. The amounts related to additional remuneration are not included in the table above.

REMUNERATION PAID TO THE AUDIT COMMITTEE IN ROCKSOURCE ASA

Figures in 1000	Role	2013	2012
Ole Wiborg	Chairman	75	131
Mimi K. Berdal	Committee member (until 27.4.12)	-	50
Marianne E. Johnsen	Committee member	50	88
Total		125	269

The Annual General Meeting (AGM) decided that remuneration to the Audit Committee should be determined for the coming year, rather than in arrears as done in previous years. Further the AGM decided that the remuneration would be paid in quarterly installments. Due to these changes the table

above reflects the actual payments in 2013 and 2012 and will therefore not be identical to the remuneration agreed in the AGM. It was agreed that the annual remuneration for the chairman was NOK 75 000 (2012: NOK 75 000) and for the committee members NOK 50 000 (2012: NOK 50 000).

REMUNERATION PAID TO THE REMUNERATION COMMITTEE IN ROCKSOURCE ASA:

Figures in 1000	Role	2013	2012
Susan Graham	Chairman	19	-
Nick Johnson	Committee member	15	-
Ole Wiborg	Committee member	15	-
Total		49	-

In March 2013 the Board resolved to establish a Remuneration Committee consisting of three board members. It was agreed that the annual remuneration for the chairman of the committee was NOK 25 000 and for the committee

members NOK 20 000. The remuneration would be paid in quarterly installments, and the table above reflects the actual payments in 2013 and will therefore not be identical to the remuneration agreed.

REMUNERATION PAID TO THE NOMINATION COMMITTEE IN ROCKSOURCE ASA

Figures in 1000	Role	2013	2012
Bjarte Fagerås	Chairman (from 14.6.12)	75	-
Einar Fr. Semb	Chairman (until 14.6.12)	-	75
Thorhild Widvey	Committee member (from 13.5.11)	50	45
Keith Myers	Committee member (from 13.5.11)	95	-
Total		220	120

It was agreed that the annual remuneration for the chairman of the committee was NOK 75 000 and for the committee members NOK 50 000.

REMUNERATION PAID TO THE EXPLORATION COMMITTEE IN ROCKSOURCE EXPLORATION NORWAY AS

Figures in 1000	Role	2013	2012
Nick Johnson	Chairman	-	-
Rob Arnott	Committee member	-	-
Total		-	-

In June 2013 the Board resolved to establish an Exploration Committee consisting of two board members. It was agreed that the annual remuneration for the chairman of the committee was NOK 120 000 and for the committee member

NOK 100 000. The remuneration has not been paid in 2013. The table above reflects the actual payments in 2013 and will therefore not be identical to the remuneration agreed.

NOTE 22 OPERATING INCOME

Figures in NOK 1000	2013	2012
Farm-down agreement	-	41 246
Sale of operating and processing services	59 282	14 333
Total	59 282	55 579

In 2013 the revenue from sale to licenses partners as an operator represents NOK 33.3 million. In addition, Rocksource had software and license sale agreement to one customer amounting to NOK 20 million, which is reflected in the Geo-Technical segment in note 1. The sale is considered to be a one-off sale.

In 2012 Rocksource entered into a strategic asset transaction with Valiant Petroleum Norge AS (Now Ithaca Energy). The asset transaction with Valiant included the sale of 13 per cent interest in the Norvarg discovery and an average reduction of approximately 50 per cent in the Company's equity stakes in a further 12 exploration licences. As consideration

Valiant paid NOK 60 million in cash and will provide NOK 200 million to pay for Rocksource's share of future exploration expenses in the licenses that Valiant farmed into (carry fund). Licence approved exploration expenses under this carry-fund includes all exploration and appraisal wells, seismic or EM surveys, and study costs that the partnerships each joint venture agrees to carry out. The profit effect from the transaction of NOK 41.2 million (including working capital adjustments) is recorded as other operating income and the cash effect is recorded as cash flow from investing activities and amounts to NOK 76.5 million.

NOTE 23 SUBSEQUENT EVENTS

PIL WELL IN PL 586

On 6 March 2014 Rocksource announced an oil and gas discovery in the Pil prospect in PL 586 in the Norwegian Sea. A successful production test (a Drill Stem Test/DST) was completed in April. The well flowed at 1067 Sm³ (6700 barrels) of oil per day, exceeding expectations.

Preliminary estimates by the Operator VNG place the size of the Pil discovery at between 8 and 27 million Sm³ recoverable oil equivalents (50 to 170 million barrels oil equivalent).

Drilling on Pil will continue through the second quarter of 2014. VNG will first drill a down-dip sidetrack to prove the lateral extent of the Pil reservoir and test the upside within the closure. This will be followed by a second sidetrack to assess the potential of the neighbouring Bue target. Further appraisal drilling is expected in 2015.

LANGLITIDEN WELL IN PL 659

On 21 February 2014 Rocksource announced that the operator, Det Norske, was about to complete drilling operations on the Langlitinden prospect (PL 659) in the Barents Sea. The exploration well 7222/11-2 encountered an oil-bearing channel sand of Triassic age. However, at this time, it is not possible to determine if the oil is economically recoverable. Rocksource Exploration Norway is a partner with 5 per cent participating interest. The capitalized amount related to Langlitinden was nil per 31 December 2013.

APA 2013 AWARDS

Rocksource announced on 21 January 2014 the award of five new licenses in the APA 2013 Licensing Round on the Norwegian Continental Shelf.

LEGAL NOTICE INVOKING ARBITRATION IN INDIA

Rocksource informed on 10 January 2014 that the Company had received a legal notice from Oil and Natural Gas Corporation of India (ONGC) invoking arbitration related to disputes over historical costs in the CY-DWN-2001/1 Production Sharing Contract (PSC) offshore India. Rocksource is currently evaluating its response. The Company's firm view remains that it is not liable for any costs on the block. See note 17 for more information.

RELOCATION OF ALL OPERATIONS TO THE BERGEN OFFICE

In 2014 the Board of Directors decided to consolidate all activities at the Company's headquarters in Bergen, with the result that the Oslo office would be closed. In relation to this process the Company entered into termination agreements with four employees in 2014, including the CFO. The termination agreements include severance pay. The amounts will be expensed in 2014 and further disclosures will be included in the 2014 annual report.

ASSETS IN THE GULF OF MEXICO

Rocksource is currently evaluating several strategic considerations regarding its ownership in Gulf Of Mexico among others, farm-down, partial sale of some leases or attract an operator to assist in maturing the leases for further exploration and development. A Houston based broker is retained to assist Rocksource. Per year end no decision regarding Rocksource's future ownership or retained interest in the leases was taken, accordingly the assets are not classified as held for sale. As of year-end 2013 the book value of the leases was NOK 30.6 million, no debt other than ordinary accruals and accounts payables relates to the Gulf of Mexico assets. For further information see note 1 Segment Information where the segment US relates to the Gulf of Mexico operations.

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Income statements 01.01 - 31.12

Figures in NOK 1000 /NGAAP

Notes

2013

2012

OPERATING INCOME

Operating income	12	4 526	13 327
Other operating income	12	61	44 524

Total operating income		4 587	57 851
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OPERATING EXPENSES

Exploration expenses	3	-	-109 005
Depreciation and amortisation	6	-	-1 390
Payroll, management fee and related costs	2	-1 579	-50 363
Other operating expenses	4	-8 490	-56 150

Total operating expenses		-10 069	-216 907
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Total operating profit/(loss)		-5 482	-159 056
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FINANCIAL INCOME/(EXPENSES)

Interest income/(expense) from Group companies	7	4 374	2 891
Group contribution		2 083	-
Other financial income		4 117	15 471
Net currency income/(loss)		13 993	-7 971
Impairment of financial assets	7, 11	-3 881	-222 106
Other financial expenses	5 Group	-7 897	-46 888

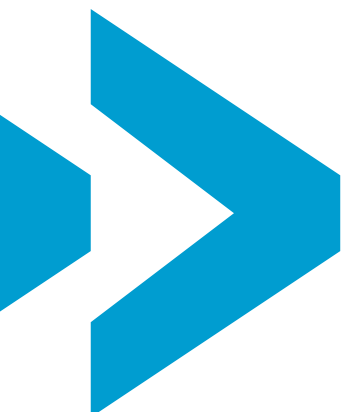
Net financial income/(expenses)		12 789	-258 602
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Profit/(loss) before taxes		7 307	-417 658
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Income tax	5	-1 575	147 057
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Net profit/(loss)		5 732	-270 602
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Basic and diluted earnings per share (NOK)	12 Group	0.07	-3.11
--	----------	-------------	-------



Balance sheets as of 31.12

Figures in NOK 1000 / NGAAP

Notes

2013

2012

ASSETS

NON-CURRENT ASSETS

Intangible assets

Deferred tax assets	5	-	1 246
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Total intangible assets		-	1 246
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Tangible assets

Furniture, fixtures and office machines	6	-	2 735
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Total tangible assets		-	2 735
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Financial assets

Investments in subsidiaries	11	43 494	25 593
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Investments in shares and funds		11	11
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Loan to subsidiaries	7	114 162	50 446
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Total financial assets		157 666	76 050
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Total non-current assets		157 666	80 031
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CURRENT ASSETS

Accounts receivable	9 Group	14	1 218
---------------------	---------	-----------	-------

Tax-receivable NCS	5	-	238 588
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Other receivables		100	3 324
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Cash and cash equivalents	8	75 930	84 388
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Total current assets		76 044	327 518
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TOTAL ASSETS		233 711	407 549
---------------------	--	----------------	---------

Figures in NOK 1000/NGAAP

Notes

2013

2012

EQUITY AND LIABILITIES**EQUITY**

Share capital	10	8 706	8 706
Treasury shares	10	-22	-22
Additional paid-in capital	10	206 630	201 036
Total equity		215 314	209 720

LIABILITIES**Non-current liabilities**

Loan from subsidiaries	7	17 596	13 122
Total non-current liabilities		17 596	13 122

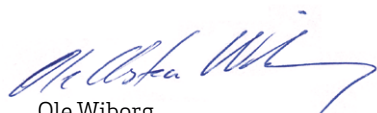
Current liabilities

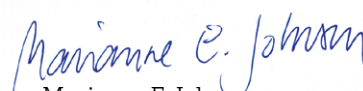
NCS credit facility	18 & 19 Group	-	120 240
Accounts payable		461	8 195
Short term liabilities to subsidiaries	7	-	53 547
Other current liabilities		340	2 726
Total current liabilities		801	184 708

Total liabilities		18 397	197 830
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TOTAL EQUITY AND LIABILITIES		233 711	407 549
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Oslo, 8 April 2014


Ole Wiborg
Chairman

Robert John Arnott
Board Member

Marianne E. Johnsen
Board Member

Nick Johnson
Board Member

Susan Graham
Board Member

Chris Spencer
Chief Executive Officer

Cash flow statements

Figures in NOK 1000 /NGAAP

Notes

2013

2012

OPERATIONAL ACTIVITIES

Profit/(loss) before tax		7 307	-417 658
Repayment following the ruling of the OTB	6 Group	-	-48 325
Tax refund NCS exploration expenses	5	238 259	564 003
Depreciation, amortisation and impairment of intangible assets	6	-	1 390
(Gain)/loss from sale of assets	6, 22 Group	-	-41 246
Impairment of financial assets	7, 11	-	222 106
Share-based remuneration	2	-63	-3 393
Changes in accounts receivable		1 203	17 006
Changes in accounts payables and other payables		-10 121	35 316
Changes in other current balance sheet items		4 386	8 141

Net cash flow from operational activities

240 972 337 339

INVESTING ACTIVITIES

Net investments in assets	6, 22 Group	2 735	74 142
Other investments/cash flow from changes to the Group		-130 689	11 611

Net cash flow from investing activities

-127 954 85 753

FINANCING ACTIVITIES

Proceeds from issuance of short term debt		-	99 900
Repayment of short term debt	18 & 19 Group	-121 500	-663 770

Net cash flow from financing activities

-121 500 -563 870

Effect of changes in exchange rates on cash and cash equivalents		23	-689
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Net change in cash and cash equivalents

-8 458 -141 468

Cash and cash equivalents 01.01		84 388	225 856
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Cash and cash equivalents 31.12

8 **75 930** 84 388

Summary of significant accounting policies

The financial statements for Rocksource ASA are prepared in accordance with the Norwegian Accounting Act and generally accepted accounting principles in Norway (NGAAP).

USE OF ESTIMATES

The preparation of the financial statements requires the management to make considerations and estimates with assumptions that influence the application of accounting principles and recognised amounts relating to assets, liabilities, income and expenses. Actual results may differ from the estimates.

Estimates and underlying assumptions are continuously evaluated.

FUNCTIONAL CURRENCY

The financial statements are presented in NOK, which is the functional and presentation currency of the Company.

REVENUE RECOGNITION

Received income from services is recorded in the financial statements according to the level of completion. At completion, the revenue recognition is in accordance with the Company's general revenue recognition principles.

CLASSIFICATION OF ITEMS IN THE BALANCE SHEET

Current assets and short term liabilities include items due within one year from draw-down and items related to the operating cycle. Other balance sheet items are classified as non-current assets/long term liabilities.

NON-CURRENT ASSETS AND LONG TERM LIABILITIES

Furniture, fixtures and office machines are valued at historical cost, less depreciation and impairment losses. Depreciation is calculated on a straight-line basis over estimated useful life, adjusted for residual value and impairment charges. Long term liabilities are recognised at nominal value.

OIL AND GAS PROPERTIES

Acquisition of licences

A licence acquired during the year is included in the consolidated financial statements from the date on which control is transferred to the Company, which normally is at the time necessary governmental approval is obtained.

Exploration and development cost

The exploration and development costs for oil and gas properties are accounted for according to the "successful effort" method. All exploration costs, with the exception of acquisition costs of licences and drilling costs of wells are expensed as incurred. Development costs (including licences and drilling costs of exploration wells) are temporarily capitalised as an intangible asset, pending the evaluation of whether economically recoverable reserves have been found. The assets are after impairment testing reclassified to tangible assets when technical feasibility and commercial viability can be demonstrated.

Capitalised costs

Capitalised costs for oil and gas properties are depreciated using the unit-of-production method. The rate of depreciation is equal to the ratio of oil and gas production for the period to prove and probable developed reserves. In addition to capitalised costs, estimated future investments that have been considered in the calculation of the Company's reserves, are added to the basis for depreciation.

CURRENT ASSETS AND SHORT TERM LIABILITIES

Current assets are valued at the lower of cost and fair value. Short term liabilities are recognised at nominal value.

FINANCIAL CURRENT ASSETS

Derivative financial instruments are recorded at the lower of estimated market values and historical costs. Unrealised losses are expenses and unrealised gains are not taken to income.

SUBSIDIARIES AND INVESTMENTS IN ASSOCIATED COMPANIES

Subsidiaries and investments in associates are valued at cost in the company accounts. A write-down to fair value will be performed if the impairment is not considered to be temporary, and an impairment charge is deemed necessary according to generally accepted accounting principles. Subsidiaries are entities where the Company has the power to govern the financial and operating policies generally accompanying a shareholding of more than 50 % of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Company controls another entity. Associates are entities where the Company's influence is considered material, but does not by itself give full control over the companies' assets (normally when the Company owns 20%-50% of the company). A specification of subsidiaries is included as a separate note.

FARM-IN/FARM-OUT

A farm-in/farm-out involves a situation where the owner of a working interest (the farminor) transfers all or a portion of an interest to another party (the farminee) in return for a farminee's performance of some agreed upon action. In the development phase, a farm-in /farm-out agreement will be treated as a transaction recorded at cost as represented by the costs borne by the farminee. A farm-in agreement is recognised when the risk and reward is transferred from the farminor, which normally is at the time necessary governmental approval is obtained in accordance with the Group's principle.

FOREIGN CURRENCY

Transactions in foreign currency are translated at the rate applicable on the transaction date. Monetary items in a foreign currency are translated into Norwegian Kroner using the exchange rate applicable on the balance sheet date.

RECEIVABLES

Accounts receivable and other current receivables are recorded in the balance sheet at nominal value less provisions for doubtful accounts. Provisions for doubtful accounts are based on an individual assessment of the different receivables.

CASH AND CASH EQUIVALENTS

Cash and cash equivalents with an original maturity of three months or less include bank deposits, and are recorded at nominal value in the financial statements. Restricted deposits are included in the item.

BENEFITS TO EMPLOYEES

Post-employment benefits

The Company runs a contribution based pension scheme for all employees. The Company records pension schemes according to the Norwegian accounting standard for pension cost. Defined contribution plans are accounted for according to the matching principle. Contributions to the pension plan are recorded as expenses.

Share-based remuneration

The Company operates an equity-settled, share-based compensation plan where employees and other key personnel are granted options to buy shares in the Company. Fair value of granted options is recognised at cost with a corresponding increase in equity. Fair value of granted options is measured at the date at which they are granted, and the cost is recognised over the period in which the performance conditions are fulfilled, ending on the date on which they become fully entitled to the award ("vesting date"). The fair value is determined by using the Black-Scholes model that takes terms and conditions into consideration. Volatility is calculated based on historic developments in the share price. If the share options are vested at the grant date, fair value of granted options is recorded as an expense in the financial statements at the grant date.

INCOME TAXES

The tax expense consists of the tax payable and changes to deferred tax. Tax payable and deferred taxes are recognised directly in equity to the extent that they relate to equity transactions.

Deferred income tax is provided using the liability method on temporary differences at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates at the balance sheet date. Deferred tax is recognised at nominal values.

Deferred tax/tax assets are calculated on all taxable temporary differences except goodwill. Tax-increasing and tax-decreasing temporary differences, as well as tax losses carried forward that are offset or can be offset in the same period, are recorded net, and are the basis for deferred tax assets for the Company. Net deferred tax assets are recognised as intangible assets and net deferred tax liabilities are recognised as long term liabilities. Deferred tax assets are recognised to the extent that sufficient taxable profit will be available to allow the deferred tax assets to be utilised.

Oil companies that operate on the Norwegian Continental Shelf are subject to the Norwegian oil taxation regime. Under this regime oil companies that are not in a taxable position can claim a 78 per cent refund of its exploration costs, limited to the taxable loss for the current year. The deferred tax can only be netted off within each tax regime.

PURCHASE OF TREASURY SHARES

When purchasing treasury shares, the purchase price, including direct costs incurred, is recorded as a change in equity. The nominal treasury shares are deducted from share capital. Differences between the nominal value and the purchase price of treasury shares, together with any losses or gains, are recorded directly against shareholders' equity.

PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS

Accounting for conditions with uncertain results shall represent best estimates and should be calculated from a probability estimate. In the case of probability that an uncertain liability will be due, and the value of the liability can be reasonably measured, the liability shall be recognised in the financial statements. Regardless of the effect on the financial statements, material provisions, contingent liabilities and contingent assets are disclosed in notes.

CASH FLOW STATEMENTS

The Company reports its cash flow statements in accordance with the indirect method. Cash and cash equivalents includes cash, bank deposits and other short term, highly liquid investments with maturities of three months or less.

NOTE 1 REORGANISATION OF THE CORPORATE STRUCTURE

Rocksource ASA reorganised the corporate structure of the Rocksource (Group) as of 31 December 2012. The aim was to create an entity more aligned with its operations and jurisdictions and that the Company treat its Norwegian Continental Shelf (NCS) activities in the same way as those in other countries within the Group. This means that all licences, related assets, contracts and personnel were transferred to the wholly owned subsidiary Rocksource Exploration Norway AS. Rocksource Exploration Norway AS thereby became the

owner of all the Group's licences on the NCS, and Rocksource ASA (Parent Company) has discontinued its direct petroleum activities. As a consequence of the restructure, Rocksource claimed payment from the Norwegian government of the tax value of its uncovered losses pursuant to the Norwegian Petroleum Taxation Act section 3(c)(4), which was received in December 2013. See more information regarding tax in note 5, and note 6 in the consolidated financial statements.

NOTE 2 REMUNERATION, SALARIES, OPTIONS AND PENSIONS

Figures in NOK 1000

	2013	2012
Salaries, bonuses and holiday pay	-	-43 406
Board remuneration and management fee	-2 694	-
Social security costs	-242	-6 979
Pensions	-	-1 963
Share-based remuneration 1)	46	2 661
Other employee costs	1 311	-676
Total	-1 579	-50 363
Number of man years	-	31.0

1) The difference between share-based remuneration in the note and in the cash flow statement represent share-based remuneration charges from employees in Rocksource Geotech AS.

As of 1 January 2013 there are no employees in Rocksource ASA (2012: 30 employees), see note 1. Items in the table above represent expenses related to remunerations to the Board of Directors.

Group CEO and CFO are employees of the subsidiary Rocksource Exploration Norway AS. Services performed for the Parent Company are charged to Rocksource Explora-

tion Norway AS. Information regarding compensation and share-based remuneration to the key management in 2013 has been disclosed in note 21 in the consolidated financial statements.

NOTE 3 EXPLORATION EXPENSES

Figures in NOK 1000

	2013	2012
Seismic acquisitions and analysis	-	-51 053
Electromagnetic surveys	-	-46 868
Other exploration expenses	-	-15 292
Exploration expenses, capitalised in previous year	-	-
Exploration expenses, dry wells current year	-	4 207
Total	-	-109 005

As a consequence of the reorganisation there were no exploration expenses in the Parent Company in 2013. See note 1.

NOTE 4 OTHER OPERATING EXPENSES

Figures in NOK 1000

	2013	2012
Intercompany services	-2 809	-11 944
Professional services	-5 349	-27 159
Office expenses, office leases, IT development and similar	212	-15 688
Travel	-295	-2 660
Other expenses	-249	1 302
Total	-8 490	-56 150

The decrease in other operating expenses from 2012 is due to the restructuring where the NCS activities have been transferred to the subsidiary Rocksource Exploration Norway AS.

In 2012, the Company leased office facilities, IT machinery, and one company car. The Company has no lease commitments as of year-end 2013.

AUDITOR FEES

Figures in NOK 1000 (excluding VAT)

	2013	2012
Audit fee	-600	-775
Other financial auditing	-30	-348
Attesting services	-109	-24
Other advisory services	-106	-20
Tax advisory services	-22	-75
Total	-867	-1 243

NOTE 5 INCOME TAX

Figures in NOK 1000

	2013	2012
SPECIFICATION OF THE BASIS FOR TAX PAYABLE		
Profit/(loss) before taxes	7 307	-417 658
+ Tax effect of permanent differences	-4 655	-82 799
+ Change in temporary differences	6 017	289 523
= Basis for tax payable	8 669	-210 935
Tax income/(loss) related to NCS, 78%/28% (1)	-	-205 983
Tax income/(loss) related to onshore activities	8 669	-4 952
SPECIFICATION OF THE YEAR'S TAX EXPENSES/(INCOME):		
Current taxes, refund exploration expenses NCS(2)	-	-238 588
Current taxes, refund previous years (3)	329	48 316
Deferred tax	1 246	43 216
= Total tax expenses/(income) for the period	1 575	-147 057
Tax rate 31.12	28%	28%/78%
Effective tax rate	21.6%	35.2%
DEFERRED TAX/DEFERRED TAX ASSETS IN NORWAY		
Non-current assets/accruals, 78%	2 473	2 255
Non-current assets/accruals, 28%	-	-1 831
Tax losses carried forward, onshore activities, 27%	14 223	20 615
= Basis deferred tax assets Norway	16 696	21 038
Deferred tax assets recognised in the financial statements	-	1 246
Deferred tax assets not recognised in the financial statements (27%)	4 508	5 772

- 1) Exploration companies operating on the Norwegian Continental Shelf can claim a 78 per cent refund of their exploration expenses limited to the taxable loss for the year.
- 2) Refundable tax, 78 per cent of the exploration expenses on the Norwegian Continental Shelf of NOK 139.5 million. The remaining NOK 98.8 million of the refund relates to the payout of the tax values of uncovered losses. Following the Oil Taxation Board's assessment of the 2012 tax return the Company received a refund totalling NOK 238.3 million in December 2013. This consisted of ordinary exploration tax refund totalling NOK 139.5 million as well as the pay-out of the tax value of uncovered losses totalling NOK 98.8 million related to the restructuring of NCS activities in 2012.
- 3) In 2012 a tax provision of NOK 48.3 million related to changes to the assessment of the tax returns for 2007-2009 was established reflecting the ruling in the OTB. The claim was settled in July 2012. The Company's position regarding the ruling of the OTB remains that it disagrees with the basis for the ruling and the Company has appealed the ruling. Impact on tax assessment for 2010-12 has not been completed, but is currently under review by the Oil Taxation Office. The intercompany charges in the years 2010-12 were significantly lower than the intercompany charges in 2007-09. The Group has not recorded any provision in the financial statements.

TAX REFUND ON THE NORWEGIAN CONTINENTAL SHELF - REFUND OF DEFERRED TAXES FOLLOWING A RESTRUCTURING

As a consequence of the restructuring as of 31 December 2012, where the NCS activities were transferred into a fully owned subsidiary of Rocksource ASA, the Company claimed payment from the Norwegian government of the tax value of its uncovered losses pursuant to the Norwegian Petroleum Taxation Act section 3(c)(4). The right to such a refund had been confirmed by an advance tax ruling from the Oil Taxation Board.

NOTE 6 TANGIBLE ASSETS AND INTANGIBLE ASSETS

Figures in NOK 1000

	Capitalised exploration and acquisition costs	Furniture, fixtures and office machines	Total
1 January 2013			
Cost		13 428	13 428
Accumulated depreciation and amortisation	-	-10 693	-10 693
Accumulated impairment losses	-	-	-
Net book value	-	2 735	2 735
Period ended 31 December 2013			
Opening net book amount	-	2 735	2 735
Disposals	-	-2 735	-2 735
Closing net book value	-	-	-
31 December 2013			
Cost	-	-	-
Net book value	-	-	-
1 January 2012			
Cost	244 970	12 558	257 528
Accumulated depreciation and amortisation	-	-9 303	-9 303
Net book value	244 970	3 256	248 225
Period ended 31 December 2012			
Opening net book amount	244 970	3 256	248 225
Additions	1 421	870	2 291
Disposals	-246 390	-	-246 390
Depreciation and amortisation charge	-	-1 390	-1 390
Closing net book value	-	2 735	2 735
31 December 2012			
Cost	-	13 428	13 428
Accumulated depreciation and amortisation	-	-10 693	-10 693
Net book value	-	2 735	2 735
Economic useful life (years)		5 years	
Depreciation plan	Units-of-production	Linear	

Furniture, fixtures and office machines were transferred to the fully owned subsidiary Rocksource Exploration Norway AS on 1 January 2013 due to the reorganisation. See note 1.

NOTE 7 INTERCOMPANY RECEIVABLES AND LOANS

Figures in NOK 1000

	2013	2012
NON-CURRENT ASSETS		
Loan to Rocksource UK Ltd	-	393
Loan to Rocksource Energy Corporation	608	562
Loan to Rocksource Gulf of Mexico AS	58 278	30 500
Loan to Rocksource Exploration Norway AS	55 253	18 972
Loan to Rocksource ANS (under liquidation)	21	19
Total	114 162	50 446
NON-CURRENT LIABILITIES		
Loan from Rocksource AGC (Profond) AS (under liquidation)	13 308	9 630
Loan from Rocksource Geotech AS	4 288	3 491
Total	17 596	13 122

Intercompany balances to Rocksource UK Ltd are denominated in GBP and intercompany balances to Rocksource Energy Corporation and Rocksource Gulf of Mexico AS are denominated in USD. The other intercompany balances are denominated in NOK.

Rocksource ASA has a receivable against Rocksource Exploration Norway AS which arose from Rocksource Exploration Norway AS' purchase of Rocksource ASA's activities on the Norwegian Continental Shelf and financing of the operations since the acquisition until 30 September 2013. As of 30 September 2013 this receivable amounts to NOK 143 928 958 and the loan was converted to equity as a set-off against share contribution, by Rocksource ASA subscribing to an increase in the nominal value of the existing shares in Rocksource Exploration Norway AS. New intercompany balances between Rocksource ASA and Rocksource Exploration Norway AS have arisen since the date of the conversion, and is interest bearing.

The loan to Rocksource UK Ltd was impaired by NOK 3.9 million as of year-end 2013. The loan to Rocksource Gulf of Mexico AS has been impaired by NOK 129.0 million as of year-end 2012. Rocksource AS was liquidated in 2012.

Intercompany balances between Rocksource ASA and Rocksource Energy Corporation carry interest of 11 per cent per annum and balances between Rocksource ASA and Rocksource Geotech AS carry interest of NIBOR 12 month + 215 basis points. Intercompany balances between Rocksource ASA and the subsidiaries Rocksource UK Ltd, Rocksource Gulf of Mexico Corporation and Rocksource AGC (Profond) AS carry no interest. Repayments of outstanding intercompany balances will be done when two parties agree on the repayment. The subsidiary Rocksource AGC (Profond) AS is under liquidation and the loan from the company will be settled.

See note 20 in the consolidated financial statements for further information on intercompany invoicing.

NOTE 8 CASH AND CASH EQUIVALENTS

Figures in NOK 1000

	2013	2012
Bank deposit, non-restricted	75 499	77 790
Bank deposit, restricted	431	6 598
Total	75 930	84 388

Included in Item "Bank deposit, restricted" at 31 December 2013 is board members's tax deduction, interest reserve account and guarantee account. In 2012 the amount of TNOK 6 598 included employees tax deduction whereas in 2013 there

are no employees in the Company due to the reorganisation.

Cash and cash equivalents are mainly denominated in NOK, 99 per cent. The remaining is denominated in GBP and USD.

NOTE 9 RELATED PARTIES

See note 20 in the Consolidated financial statements for description of transactions with related parties.

NOTE 10 SHAREHOLDERS EQUITY

Figures in NOK 1000	Share capital	Treasury shares	Share premium	Additional paid-in capital	Total equity
Balance at 1 January 2013	8 706	-22	-	201 036	209 720
Transaction costs, net of tax	-	-	-	-75	-75
Share-based remuneration	-	-	-	-63	-63
Net profit/(loss) for the period	-	-	-	5 732	5 732
Balance at 31 December 2013	8 706	-22	-	206 630	215 314
Balance at 1 January 2012	348 222	-25	135 517	-	483 714
Capital increase	0.4	-	-	-	0.4
Share-based remuneration	-	-	-	-3 393	-3 393
Transfers	-339 516	-	-135 517	475 034	-
Treasury shares, reversed split	-	3	-	-3	-
Net profit/(loss) for the period	-	-	-	-270 602	-270 602
Balance at 31 December 2012	8 706	-22	-	201 036	209 720

As of 31 December 2013 Rocksource ASA had 87,055,500 shares with a nominal value of NOK 0.10 which give a share capital of TNOK 8 706. There has been no changes to the issued share capital since 31 December 2012. There is one class of shares and all shares are fully paid in. Each share represents one vote at the Company's General Meeting.

For information regarding the authorisation of the Board of Directors, treasury shares and dividends, see note 11 in the consolidated financial statements.

THE COMPANY'S LARGEST SHAREHOLDERS AT 31 DECEMBER 2013

Name of shareholder	Country	Number of shares	Share %
Larsen Oil & Gas AS	Norway	24 299 049	27.9
Helge Ringdal	Norway	1 278 125	1.5
HSBC Bank PLC	Norway	1 242 500	1.4
Exploration Invest	Norway	1 200 000	1.4
Petrolia Invest AS	Norway	1 198 900	1.4
Balanced Rock AS	UK	1 153 765	1.3
Parmod Kumar Bhandari	Norway	800 000	0.9
Brown Brothers Harriman & Co	Norway	724 250	0.8
Thomas A. Collins	USA	600 907	0.7
Six Sis AG	Norway	582 170	0.7
Citibank, N.A.	Norway	570 750	0.7
Arne Fredrik Hellestø	USA	566 556	0.7
Ole Andreas Baksaas	Luxembourg	537 009	0.6
Nordnet Pensjonsforsikring	Norway	530 161	0.6
Kim Erik Andreassen	Sweden	450 100	0.5
UBS AG	Sweden	438 790	0.5
Biovisjon Holding AS	Norway	432 638	0.5
Trond Wikborg	Norway	395 400	0.5
Nordnet Bank AB	Norway	394 672	0.5
Kjetil Sundet	Norway	390 325	0.4
Total top 20 shareholders		37 786 067	43.4
Other shareholders		49 269 433	56.6
Total		87 055 500	100.0

NOTE 11 GROUP COMPANIES

ASSET VALUE OF THE SUBSIDIARIES BOOKED IN THE COMPANY AS OF YEAR-END

Figures in NOK 1000	Ownership and voting interest (%)	2013	2012
Investments in Rocksource Energy Corporation	100	439	439
Shares in Rocksource Geotech AS	100	15 000	15 000
Shares in Rocksource UK Ltd	100	-	-
Shares in Rocksource AGC (Profond) AS (under liquidation)	100	10 034	10 034
Shares in Rocksource Gulf of Mexico AS	100	-	-
Shares in Rocksource Exploration Norway AS	100	18 021	120
Investment in Rocksource ANS (under liquidation)	100	-	-
Total		43 494	25 593

See note 13 Group companies in the consolidated financial statements.

Impairment tests as of year-end 2013 have been performed, and the conclusion is that the value of the shares and investments are intact. In 2012, the shares and investments have been impaired as follows: Rocksource Energy Corporation

with NOK 0.1 million, Rocksource Geotech AS with NOK 88.0 million, Rocksource AGC (Profond) AS (under liquidation) with NOK 3.5 million, Rocksource Gulf of Mexico AS with NOK 1.5 million.

NOTE 12 OPERATING INCOME

Figures in NOK 1000	2013	2012
Farm-down agreement	-	41 246
Sale of operating and processing services	4 526	13 327
Other intercompany sale	61	3 278
Total	4 587	57 851

Sale of operating and processing services to external parties are booked as sales. Other intercompany sale consists of sale between Rocksource ASA and the subsidiaries in the Group. For more information see note 20 in the Consolidated financial statements.

For information regarding the operating income from the farm-down agreement in 2012, see note 22 in the Consolidated financial statements.

NOTE 13 COMMITMENTS

See note 16 and note 17 in the group financial statements for information regarding commitments and contingent items, including a update on the disputes with ONGC in India.

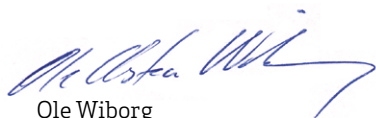
NOTE 14 SUBSEQUENT EVENTS

See note 23 Subsequent events in the group financial statements related to information regarding the India dispute.

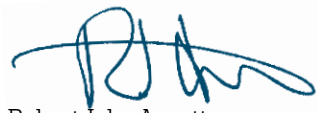
Responsibility statement

We confirm that, to the best of our knowledge that the financial statements for the period 1 January to 31 December 2013 have been prepared in accordance with current applicable accounting standards, and give a true and fair view of the assets, liabilities, financial position and result of Rocksource ASA and the Rocksource Group. We also confirm that the Board of Directors' report includes a true and fair review of the development, performance and financial position of Rocksource ASA and the Rocksource Group, together with a description of the principal risks and uncertainties that they face.

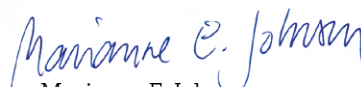
Oslo, 8 April 2014



Ole Wiborg
Chairman



Robert John Arnott
Board Member



Marianne E. Johnsen
Board Member



Nick Johnson
Board Member



Susan Graham
Board Member



Chris Spencer
Chief Executive Officer

To the Annual Shareholders' Meeting of
Rocksource ASA

AUDITOR'S REPORT

Report on the financial statements

We have audited the accompanying financial statements of Rocksource ASA, comprising the financial statements for the Parent Company and the Group. The financial statements of the Parent Company comprise the balance sheet as at 31 December 2013, the statements of income and cash flows for the year then ended and a summary of significant accounting policies and other explanatory information. The financial statements of the Group comprise the consolidated statement of financial position as at 31 December 2013, the statements of income, comprehensive income, cash flows and changes in equity for the year then ended as well as a summary of significant accounting policies and other explanatory information.

The Board of Directors' and Chief Executive Officer's responsibility for the financial statements

The Board of Directors and Chief Executive Officer are responsible for the preparation and fair presentation of these financial statements in accordance with the Norwegian Accounting Act and accounting standards and practices generally accepted in Norway for the financial statements of the Parent Company and the International Financial Reporting Standards as adopted by the EU for the financial statements of the Group, and for such internal control as the Board of Directors and Chief Executive Officer determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with laws, regulations, and auditing standards and practices generally accepted in Norway, including International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements for the Parent Company and the Group.

Opinion on the financial statements of the Parent Company

In our opinion, the financial statements of Rocksource ASA have been prepared in accordance with laws and regulations and present fairly, in all material respects, the financial position of the Company as at 31 December 2013 and its financial performance and cash flows for the year then ended in accordance with the Norwegian Accounting Act and accounting standards and practices generally accepted in Norway.

Opinion on the financial statements of the Group

In our opinion, the financial statements of the Group have been prepared in accordance with laws and regulations and present fairly, in all material respects, the financial position of the Group as at 31 December 2013 and its financial performance and cash flows for the year then ended in accordance with the International Financial Reporting Standards as adopted by the EU.

Emphasis of matter

Without qualifying our opinion, we draw attention to the Board of Directors' Report and note 19 in the Group's financial statements, which indicate that there is uncertainty regarding the going concern assumptions and that the Group will need to either raise more equity or sell assets to continue its operations. Our opinion is not qualified in respect of this matter".

Report on other legal and regulatory requirements

Opinion on the Board of Directors' report and on the statements on corporate governance and corporate social responsibility

Based on our audit of the financial statements as described above, it is our opinion that the information presented in the Directors' report and in the statements on corporate governance and corporate social responsibility concerning the financial statements, the going concern assumption and the proposal for the allocation of the result is consistent with the financial statements and complies with the law and regulations.

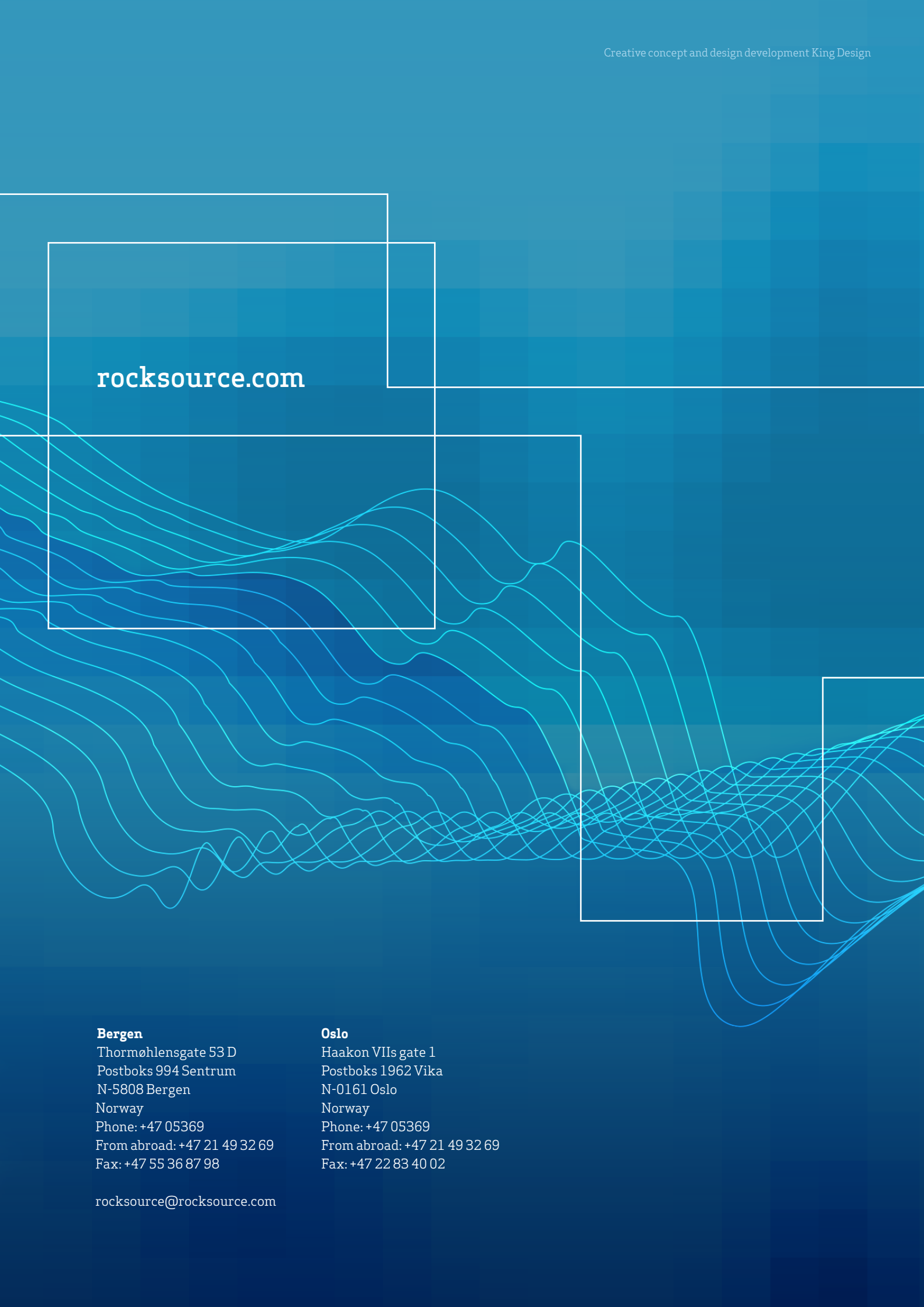
Opinion on registration and documentation

Based on our audit of the financial statements as described above, and control procedures we have considered necessary in accordance with the International Standard on Assurance Engagements (ISAE) 3000, «Assurance Engagements Other than Audits or Reviews of Historical Financial Information», it is our opinion that the Board of Directors and Chief Executive Officer have fulfilled their duty to ensure that the Company's accounting information is properly recorded and documented as required by law and generally accepted bookkeeping practice in Norway.

Oslo, 9 April 2014
ERNST & YOUNG AS



Asbjørn Rødal
State Authorised Public Accountant (Norway)



rocksource.com

Bergen

Thormøhlensgate 53 D
Postboks 994 Sentrum
N-5808 Bergen
Norway
Phone: +47 05369
From abroad: +47 21 49 32 69
Fax: +47 55 36 87 98

rocksource@rocksource.com

Oslo

Haakon VIIIs gate 1
Postboks 1962 Vika
N-0161 Oslo
Norway
Phone: +47 05369
From abroad: +47 21 49 32 69
Fax: +47 22 83 40 02